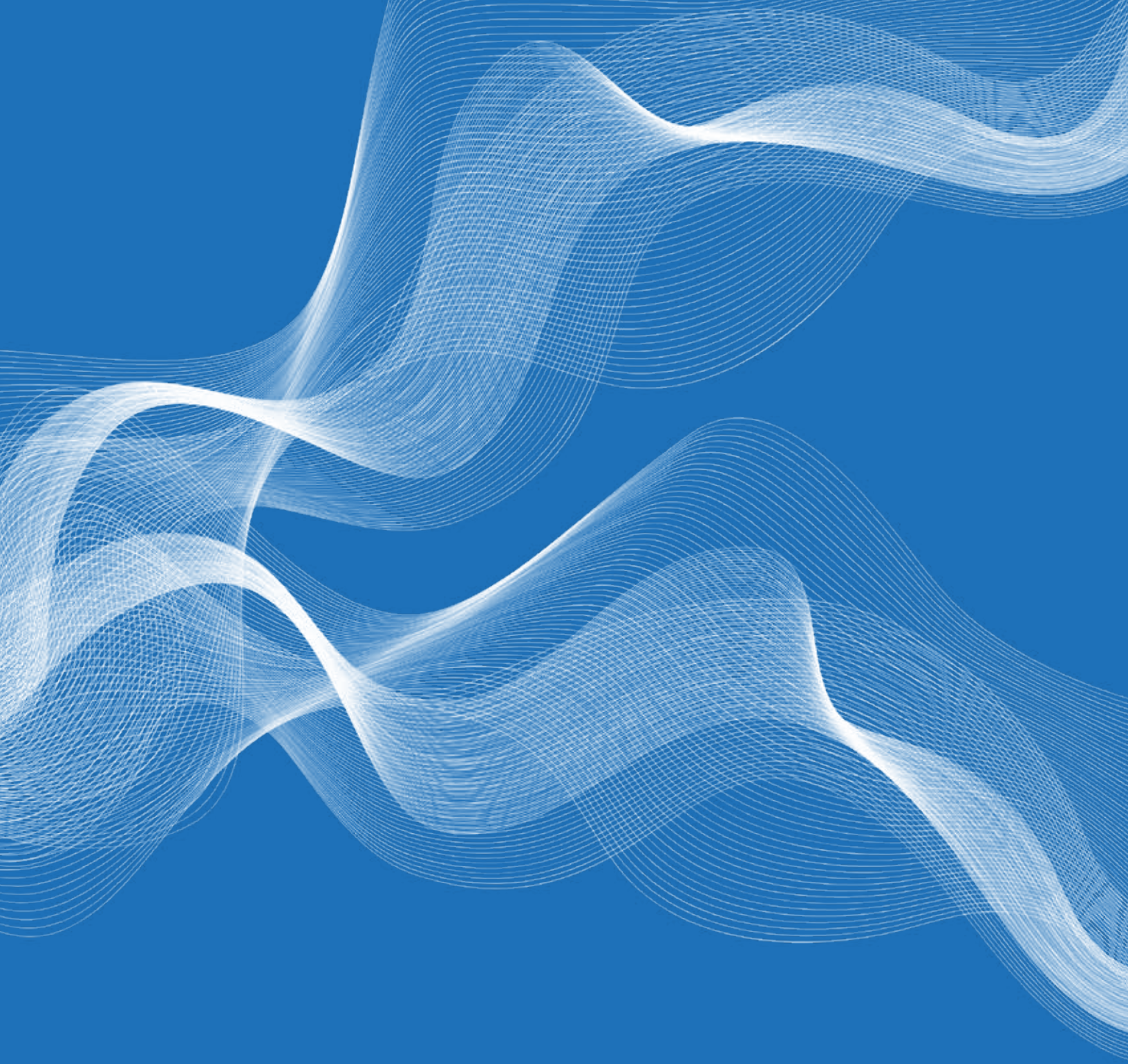


Unlocking Access to Finance for Women-Led SMEs in Nigeria

A Survey Across Lagos, Abuja & Port Harcourt



Executive Summary

Despite contributing to an estimated 48% of Nigeria's GDP and accounting for over 84% of employment, women-led Small and Medium Enterprises (SMEs) face a severe, persistent financing gap. Historically, this shortfall has been attributed to high rejection rates by formal financial institutions. However, this national mixed-methods study commissioned by Women in Management, Business and Public Service (WIMBIZ) and executed by Gatefield, reveals a more complex reality.

Based on a quantitative survey of 228 women-led SMEs across Lagos, Abuja, and Port Harcourt, triangulated with deep-dive focus group discussions and key informant interviews with senior financial regulators and banking executives, our central finding challenges the prevailing perception.

Core Insights: Redefining the Financing Gap

Respondents are concentrated in sectors most common to women-led enterprises in Nigeria, fashion and textiles, professional services, and trade and retail, with the majority operating between three and five years, across Lagos, Abuja, and Port Harcourt.

Most women-led businesses are discouraged to borrow from the start.

The most significant friction point in the financing lifecycle occurs before an application is ever filed. 41.2% of women-led SMEs surveyed have never applied for formal finance, revealing that the primary bottleneck in the financing lifecycle is not outright rejection, but a combination of anticipated rejection, perceived ineligibility, and structural self-exclusion that suppresses demand before women entrepreneurs ever engage with a financial institution.

Current market products fail to support women precisely at the point of business scaling.

Standard economic intuition suggests that as enterprises scale and generate more revenue, their engagement with formal financial systems increases. Our data reveals that Women-led enterprises in the ₦5M–₦25M revenue band (micro enterprises) apply for formal credit at statistically lower rates, while small-tier businesses are serviced by flexible microfinance institutions, and top-tier businesses are absorbed by corporate banking. Early-stage and micro enterprises at the point of scaling face prohibitively complex commercial banking requirements, yet loan quantum remain too small to justify the administrative burden.

Financial institutions are failing to match gender lending data with credit-risk models.

On the supply side, the failure to close the financing gap is an underwriting rigidity issue. Interventions by Development Finance Institutions (DFIs) are largely bottlenecked by the commercial banks tasked with distributing them. Because commercial banks bear 100% of the credit risk on DFI on-lending, they apply the exact same restrictive collateral models to development funds as they do to standard commercial loans. Furthermore, while regulatory pressure has led financial institutions to collect gender-disaggregated data, only 14% utilize this data to adjust their credit risk models. Consequently, financial institutions are failing to price in the historically lower default rates of women-led portfolios, resulting in structurally mispriced risk and un-deployed intervention capital.

The Three Dimensions of Exclusion

Triangulating our survey data with lived experiences (FGDs) and institutional logic (KIIIs), we categorize these constraints across three distinct dimensions:

Barriers

Structural & Legal

What the Evidence Shows

Land and property is the dominant collateral type demanded (34 of 75 collateral cases), in a context where only 10% of women own land in Nigeria.

Procedural & Institutional

Application process dimensions rated by respondents who applied are all below 3.5/5. The worst-rated, speed of review (2.46), interest rates (2.54), lender communication (2.58), collateral requirements (2.59), are all within the direct control of financial institutions. Port Harcourt's lender communication score of 1.62 indicates a systemic institutional failure in that market specifically

Behavioural & Social

41.2% of the sample, the single largest group, never considered applying for formal finance. This is not explained by lack of awareness of financial products; it reflects internalised assumptions about eligibility, anticipated rejection, and social norms around women's financial autonomy that function as demand-side suppression before any institutional interaction takes place.

Priority Recommendations at a Glance

1. Structural Reform

The collateral framework must be overhauled: movable assets must be actively accepted under the National Collateral Registry and cash-flow underwriting universally adopted. The Central Bank of Nigeria (CBN) must resolve the prudential contradiction that renders existing credit guarantees ineffective, and fiscal policy must be aligned with monetary intervention through targeted tax relief for micro and small enterprises.

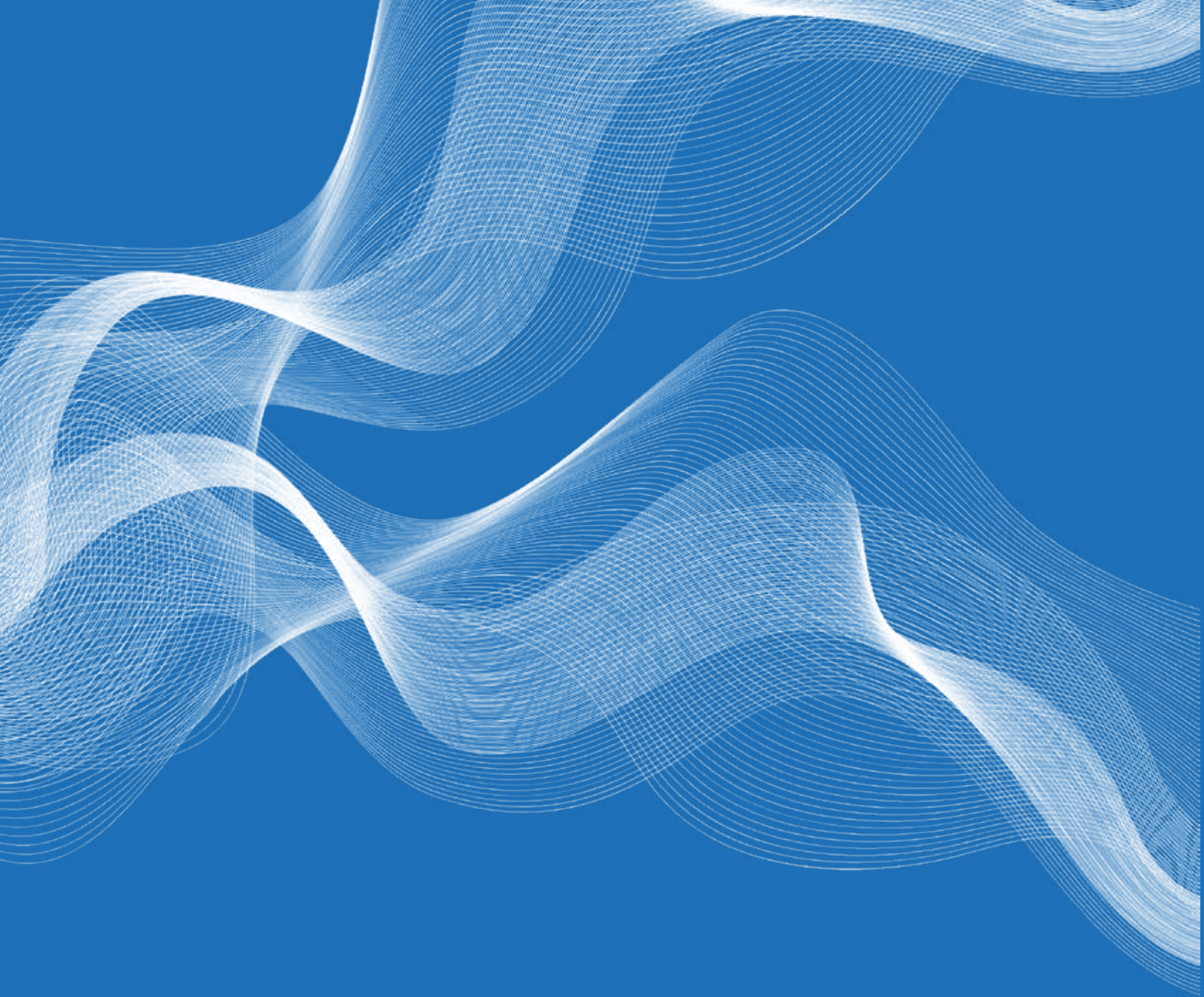
2. Institutional Accountability

The CBN must mandate a minimum 30% MSME portfolio allocation to women-led enterprises, enforce active use of gender data in credit scoring, and require written rejection reasons for all SME applicants. Unconscious bias training for branch-level staff must be treated as a compliance requirement.

3. Market Access & Distribution

DFIs must enforce strict distribution mandates on participating banks, including automatic routing of rejected applicants to gender-intervention funds. Application processes must be simplified, supply-chain financing embedded for trade-sector businesses, and capital structures redesigned to reflect longer tenors, bundled working capital, and coverage for digital infrastructure.





About the Study

This report is the product of a research study commissioned by Women in Management, Business and Public Service (WIMBIZ) and conducted by Gatefield Impact Foundation. WIMBIZ is Nigeria's leading platform for professional women across the public and private sectors. Its mandate includes advocacy, capacity building, and the generation of evidence that advances the economic participation of women in Nigeria.

This study was commissioned as part of that evidence mandate, responding to a persistent gap in granular, nationally grounded data on the financing experiences of women-led small and medium enterprises.

Purpose of the Study

The study is designed to address five core research objectives:

1. To map the financing funnel for women-led SMEs in Nigeria, tracing the trajectory from awareness of available finance through to the point of disbursement, and to identify where, and at what rate, women entrepreneurs exit that funnel before accessing capital
2. To identify and assess the relative weight of structural, procedural, and behavioural barriers that prevent women-led SMEs from accessing formal finance, drawing on both quantitative evidence and the lived experiences of respondents.
3. To evaluate the reach and effectiveness of existing government and development finance institution (DFI) programmes in Nigeria in serving the financing needs of women-led businesses.
4. To understand the role of informal finance (personal savings, corporative groups, family credit) in women-led SME strategies and its implications for formal sector product design.
5. To generate actionable policy and programmatic recommendations grounded in statistical evidence and directly responsive to the priorities that women entrepreneurs themselves have identified.

This report presents the quantitative findings from a survey of 228 women-led SMEs conducted across Lagos, Abuja, and Port Harcourt between February and March 2026. Qualitative evidence from six focus group discussions and key informant interviews is integrated for triangulation where available. The structure of the report follows the financing funnel, moving from demand-side patterns through to the application process, outcomes, informal finance behaviour, programme uptake, and policy priorities. Section 11 translates the accumulated evidence into a set of specific, implementable recommendations directed at financial institutions, regulators, government agencies, and WIMBIZ itself.

Context and Background

Despite representing a significant share of Nigeria's SME landscape, women entrepreneurs face a persistent financing gap, accessing capital at lower rates, on less favourable terms, and through more burdensome processes than their male counterparts.

Nigeria's SME sector contributes an estimated 48% of GDP, accounting for over 84% of employment. The International Finance Corporation (IFC) estimates the global financing gap for women-owned SMEs at USD 1.7 trillion, with Sub-Saharan Africa accounting for a big share of this shortfall. In Nigeria specifically, survey data from the World Bank Enterprise Surveys indicates that women-led firms are more likely to identify access to finance as a major obstacle to growth compared to male-led firms of equivalent size and sector. While macro-level financing gap estimates exist, granular data on where in the financing lifecycle women-led SMEs drop out, from awareness through to disbursement, is limited. The relative weight of structural, procedural, and behavioural barriers in Nigeria's context is poorly understood.

The effectiveness of existing government and development finance initiatives in reaching and benefiting women entrepreneurs has not been systematically evaluated. And the voices and lived experiences of women entrepreneurs themselves are largely absent from policy discussions on SME finance. Through a mixed-methods approach, combining a national quantitative survey of women-led SMEs, six focus group discussions, and six key informant interviews, this study produces an evidence-based work, grounded in both statistical rigour and human experience.

Women-led SMEs are concentrated in trade, food processing, fashion, services, and agri-business, sectors that are often overlooked by formal financial institutions in favour of larger, asset-intensive enterprises. Nigeria's legal and regulatory environment, creates an uneven playing field. Procedural barriers within financial institutions, behavioral barriers, including risk perceptions that undervalue women-led businesses and social norms that limit women's financial autonomy, compound the existing institutional constraints.

At the same time, a growing ecosystem of government programmes, development finance institutions, and women-focused initiatives exists in Nigeria. The Development Bank of Nigeria, Bank of Industry, NIRSAL Microfinance Bank, and CBN-backed credit facilities all carry formal mandates to support SME growth. However, evidence on their reach, design quality, and effectiveness for women-led businesses is sparse and rarely disaggregated by gender. This research aims to understand that gap.

The Conceptual Framework

This research is organised around two complementary analytical tools. The first is a financing funnel model, adapted from the IFC's SME finance research methodology, that maps the journey of a women-led SME from initial awareness of financing options through to actual disbursement of funds. The funnel has seven stages: awareness, perceived eligibility, intention to apply, application initiation, application completion, approval, and disbursement. Measuring drop-off at each stage allows the research to move beyond the broad statistics of rejection rates to a granular understanding of where exclusion happens and why.

The second is a three-dimensional barrier framework that categorises the constraints facing women-led SMEs into: structural and legal barriers, encompassing property rights, land tenure, and registration requirements; procedural and institutional barriers, encompassing collateral rules, documentation burdens, credit scoring models, DFI programme design, and gender-disaggregated data utilisation; and behavioural and social barriers, encompassing risk perceptions, the discouraged borrower effect, awareness and literacy gaps, and social norms around women's financial autonomy.

Methodology

This report is grounded in a robust, mixed-methods analytical framework designed to capture both the breadth of the financing gap and the depth of the lived entrepreneurial experience.

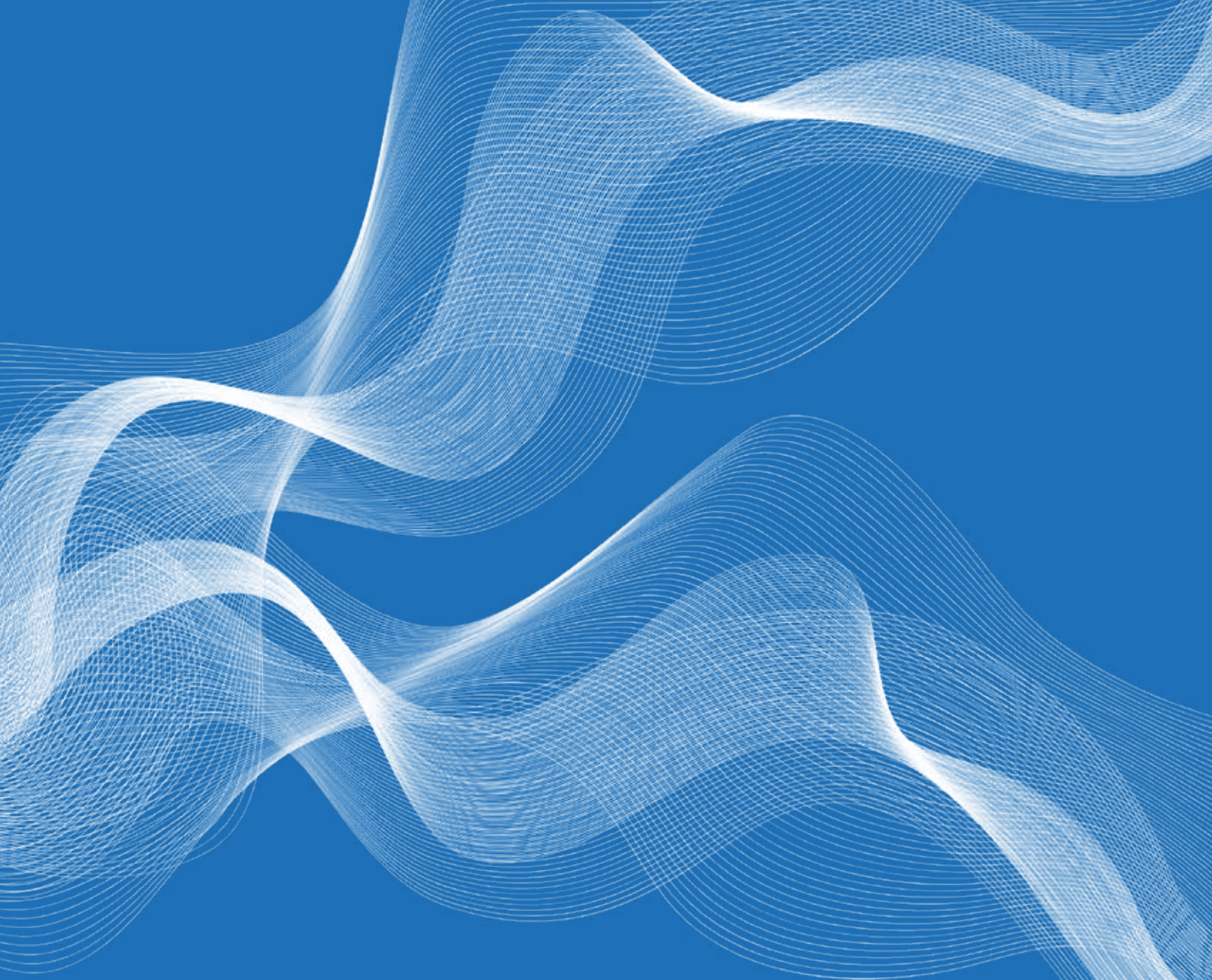
Quantitative Survey & Multi-Channel Deployment

A structured survey was administered to 228 women-led SMEs across Lagos, Abuja, and Port Harcourt. To maximize response rates and capture distinct segments of the SME ecosystem, ranging from micro-enterprises to established medium-sized firms, the survey instrument was deployed across parallel network strata, leveraging WIMBIZ's expansive national reach. Data harmonisation protocols were applied post-collection to standardize variables and ensure strict structural integrity across the dataset.

Qualitative Triangulation

To stress-test the quantitative findings, the research team conducted Virtual Focus Group Discussions (FGDs) with women entrepreneurs segmented by enterprise size. This demand-side data was triangulated with Key Informant Interviews (KIs) involving 6–8 senior supply-side stakeholders, including commercial SME banking heads, Development Finance Institution (DFI) programme leads, and regulatory directors.



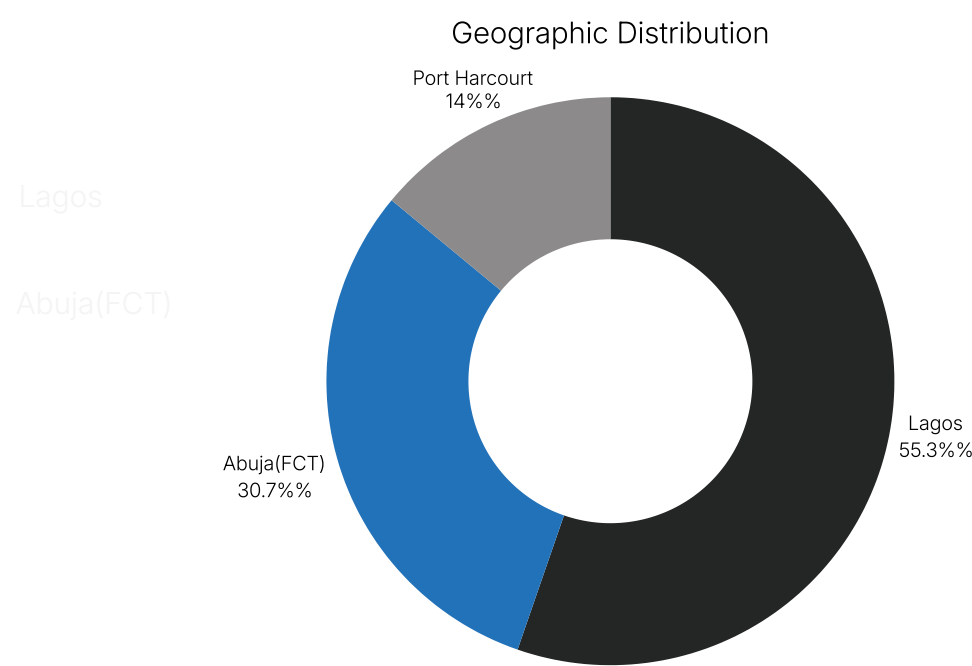


Demographic Analysis and Profiles

This section presents the demographic and operational characteristics of the 228 respondents. Understanding the composition of this sample is a prerequisite for interpreting the financing findings that follow: The same barrier can carry different operational weight depending on the sector, size, and geographic location of the enterprise.

Geographic Distribution

Respondents are drawn from Nigeria's three major commercial and administrative hubs:



Lagos accounts for over half the sample. This distribution is consistent with national MSME data, which shows that the majority of formal and semi-formal SME activity concentrated in the commercial capital, and should not be interpreted as a sampling bias. Port Harcourt's relatively targeted sub-sample (n=32) provides critical regional contrast, though city-level findings for this region carry wider margins of uncertainty and highlight areas for future deep-dive research.

Sector Distribution

Respondents were asked to identify their primary business sector, which was standardized into ten core categories. Fashion, Textiles, and Beauty constitutes the largest single sector, accounting for more than one in four respondents. This reflects the broader macroeconomic reality of Nigeria's women-led SME landscape. Crucially, the three largest sectors represented here, Fashion/Beauty, Professional Services, and Trade/Retail, are precisely the sectors that formal financial institutions have historically underweighted in favour of asset-intensive manufacturing and infrastructure. The sectoral concentration of this sample is therefore not incidental to the financing findings; it is a fundamental driver of the access gap.

Share of Respondents by Sector
% of business sectors represented

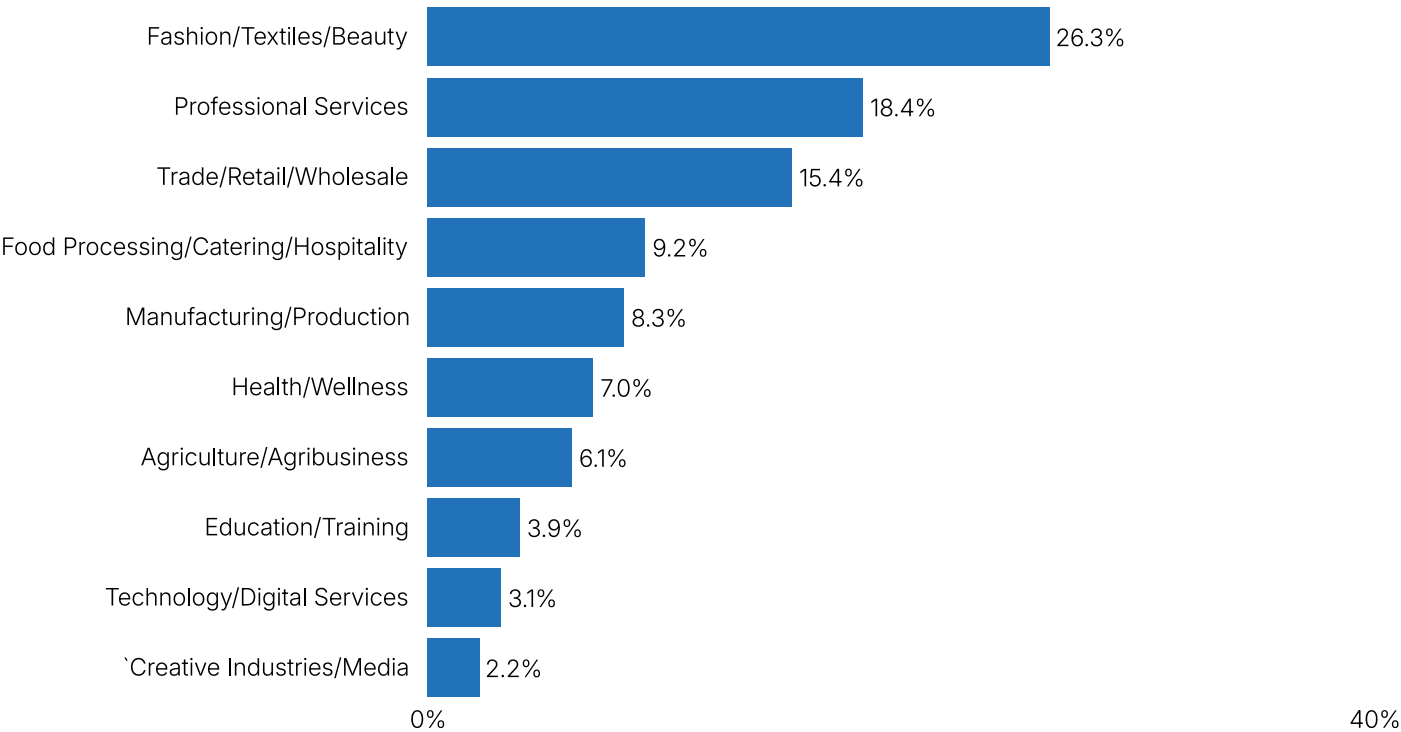


Figure 1: Share of Respondents by Sector

Business Size

Business size is measured along two dimensions, number of full-time employees and annual revenue. Nearly half of all respondents are sole proprietors with no full-time employees, and a further third employ between one and five people. Together, these two groups account for 78.5% of the sample. This is aligned with national data on the dominance of micro-enterprises in Nigeria's informal and semi-formal business landscape, meaning the majority of findings in this report reflect the realities of businesses operating at the smallest end of the SME spectrum. Almost half the sample falls in the lowest revenue bracket (under ₦5 million annually). This concentration shows a significant market reality: formal financial products must be highly granular to succeed, as the operational constraints of an enterprise turning over ₦500,000 vastly differ from one approaching the ₦5 million threshold accounts for 22.8% of the sample.

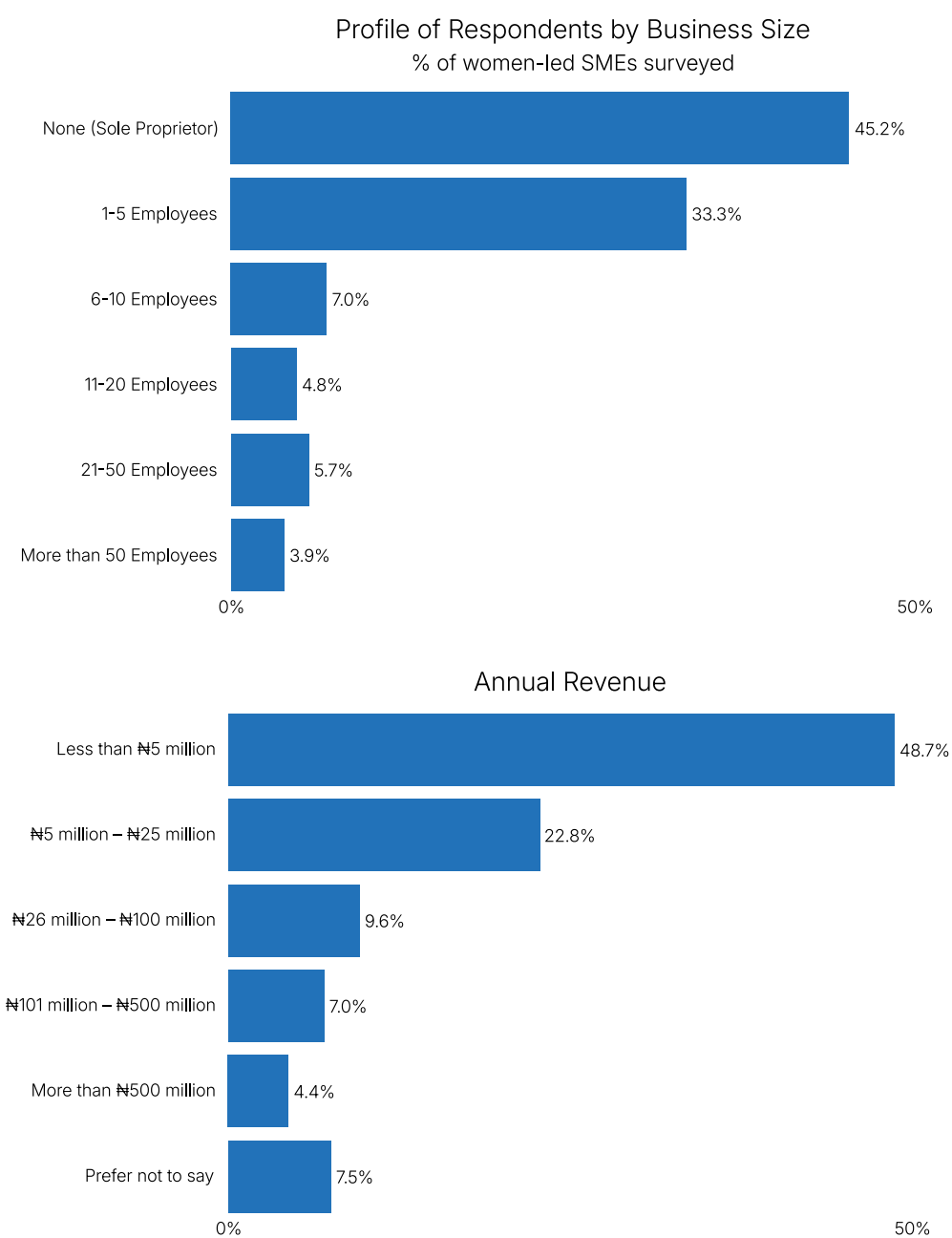


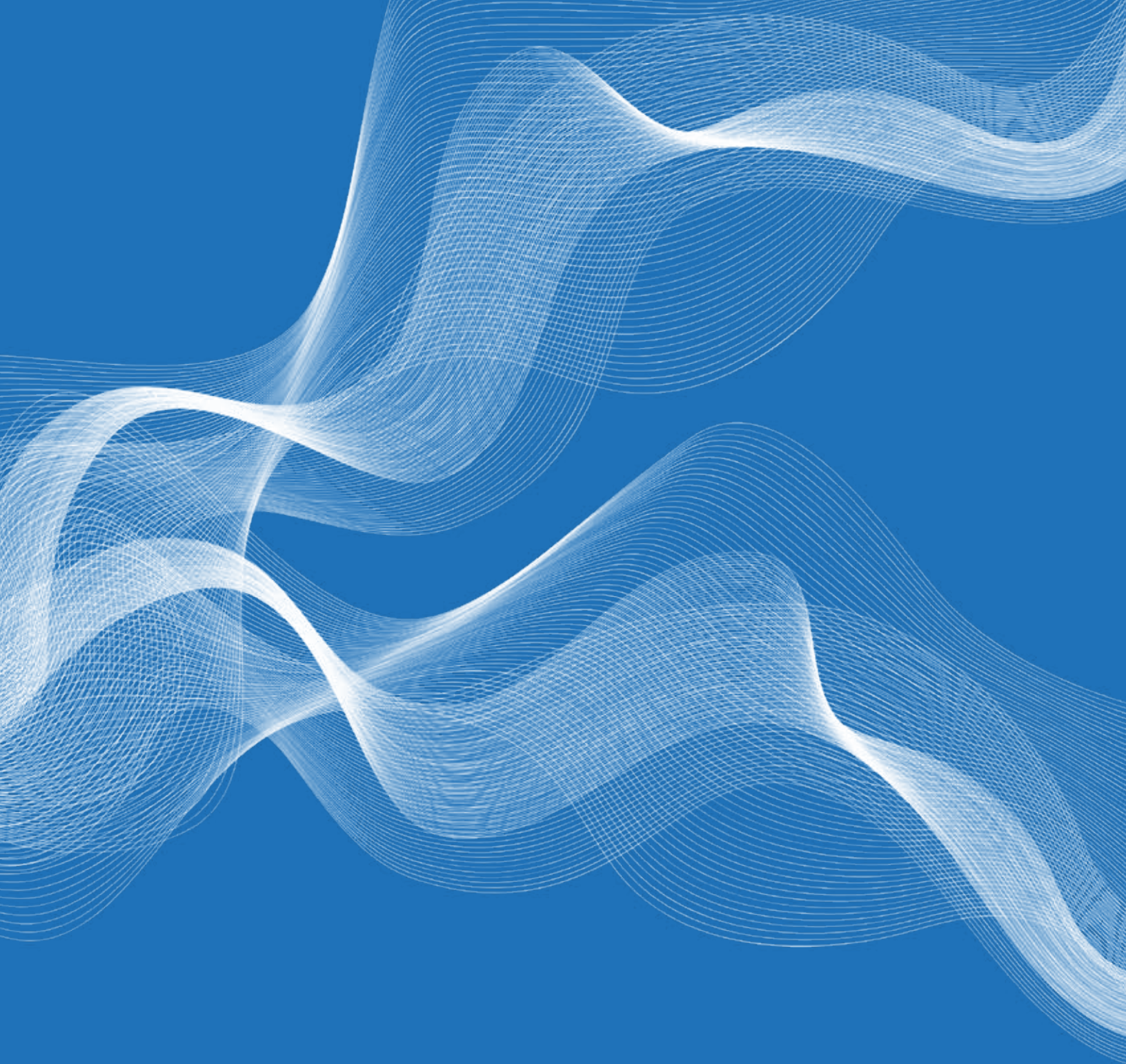
Figure 2: Profile of Respondents by Business Size

Business Maturity

The sample is broadly distributed across maturity stages, preventing early-stage survival bias from skewing the data. Years of operation serves as one of the most analytically significant variables in this study, demonstrating a clear but complex, relationship with formal financing behaviour.

Years of Operation	Share of Sample
Less than 1 Year	11.0%
1-2 years	19.7%
3-5 Years	26.3%
6-10 Years	23.7%
More than 10 years	19.3%





The Financing Funnel

This section presents the core quantitative finding of the study, an end-to-end map of how women-led SMEs in the sample move or fail to move through the stages of formal finance engagement, from initial awareness through to the point of funds received. The financing funnel serves as the primary analytical structure of this report. And the patterns observed here underpin the barrier analysis, recommendations, and policy conclusions that follow.

The Funnel: End-to-End

Of 228 respondents, the journey through the financing funnel reveals structural attrition:

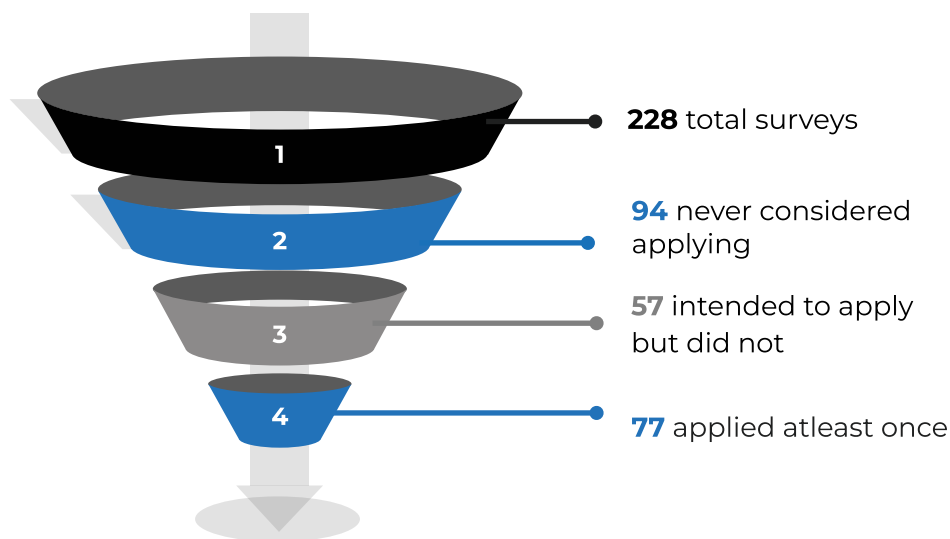


Figure 3: The Finance Funnel

Of the 77 who successfully submitted an application

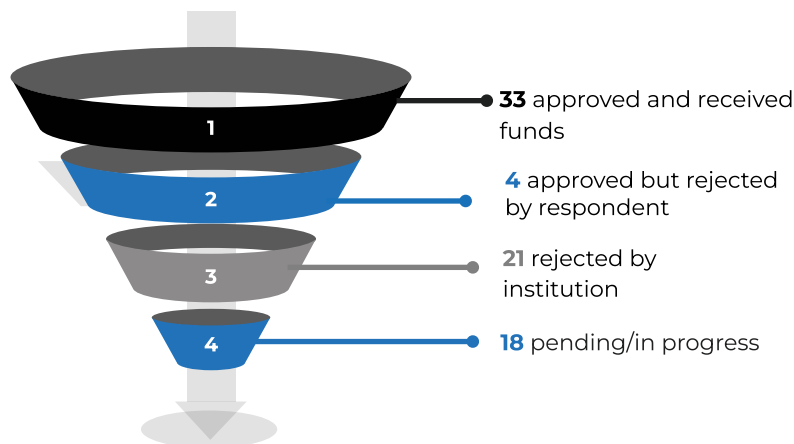


Figure 4: The Finance Funnel

Market Failure Points

Ultimately, only 14.5% of the full sample successfully accessed formal finance and received funds. The findings in this report attempt to explain why. The funnel reveals three distinct exit points, each with different policy implications

Pre-engagement demand suppression (41.2%)

The largest single group in the sample never considered applying for formal finance at all. Anticipated rejection, perceived ineligibility, unfamiliarity with products, or structural self-exclusion rooted in social norms can be considered as leading factors.

The intention-to-action gap (25.0%)

Over a quarter of respondents intended to apply but did not follow through. This group is aware of formal finance; they considered it relevant to their needs, but something between intention and action stopped them. Process complexity, documentation burden, time cost, and discouragement after informal enquiry are the most common explanations.

Application attrition (33.8% entered; only 14.5% succeeded)

Among those who applied, 42.9% received funds, 27.3% were rejected, and 23.4% remain pending. A further 5.2% were approved but declined the offer, mostly due to unfavorable interest terms.

Funnel by City

Abuja demonstrates the highest application rate (45.7%) and the lowest intention-to-action gap (17.1%). This suggests a more highly engaged, policy-aware business community, likely benefiting from the proximity of DFI headquarters and federal intervention programs. Lagos, despite serving as Nigeria's commercial capital with the highest density of formal financial institutions, exhibits the lowest formal application rate (26.2%). Nearly half of Lagos-based respondents (47.6%) never considered applying. In Port Harcourt, only 25.0% never considered applying, yet they suffer the highest drop-off between intention and application (37.5%). This could likely point to localized, procedural breakdowns, poor lender responsiveness and complex access channels.

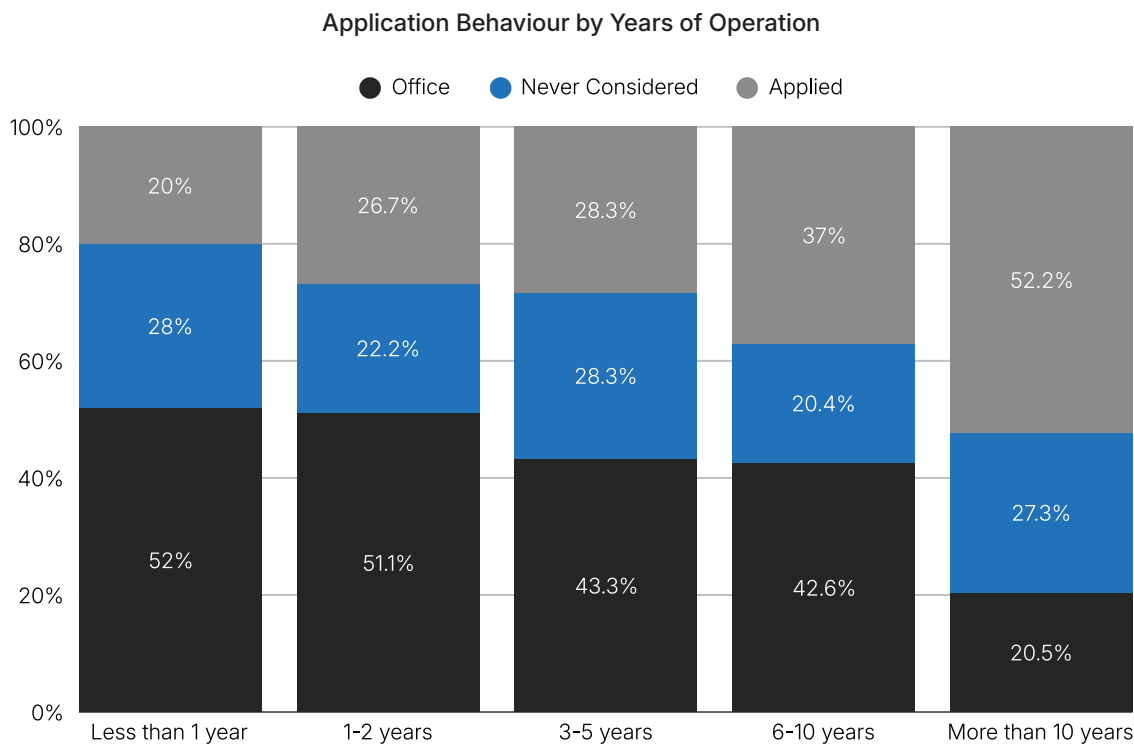
City	Never Considered	Intended but did not apply	Applied
Abuja	37.1%	17.1%	45.7%
Port Harcourt	25.0%	37.5%	37.5%
Lagos	47.6%	26.2%	26.2%

Funnel by Business Maturity

Application rates rise steadily with business age, scaling from 20.0% for startups (1-2 years) to 52.3% for legacy businesses (10+ years.) This progression is consistent with the expectation that older businesses have more established documentation, track records, and familiarity with formal finance processes. Two critical insights emerge while reading of this trend.

Persistent Self-Exclusion: Even among the most mature businesses in the sample, those with more than ten years of operation, nearly half (47.8%) either never considered applying or intended to but did not.

The Enduring Process Barrier: The "intention-to-action" gap does not steadily decline with age. For businesses operating over a decade, 27.3% still intended to apply but abandoned the process, the second-highest abandonment rate across all cohorts. This suggests that process complexity and documentation burdens remain prohibitive even for highly experienced and established business owners.

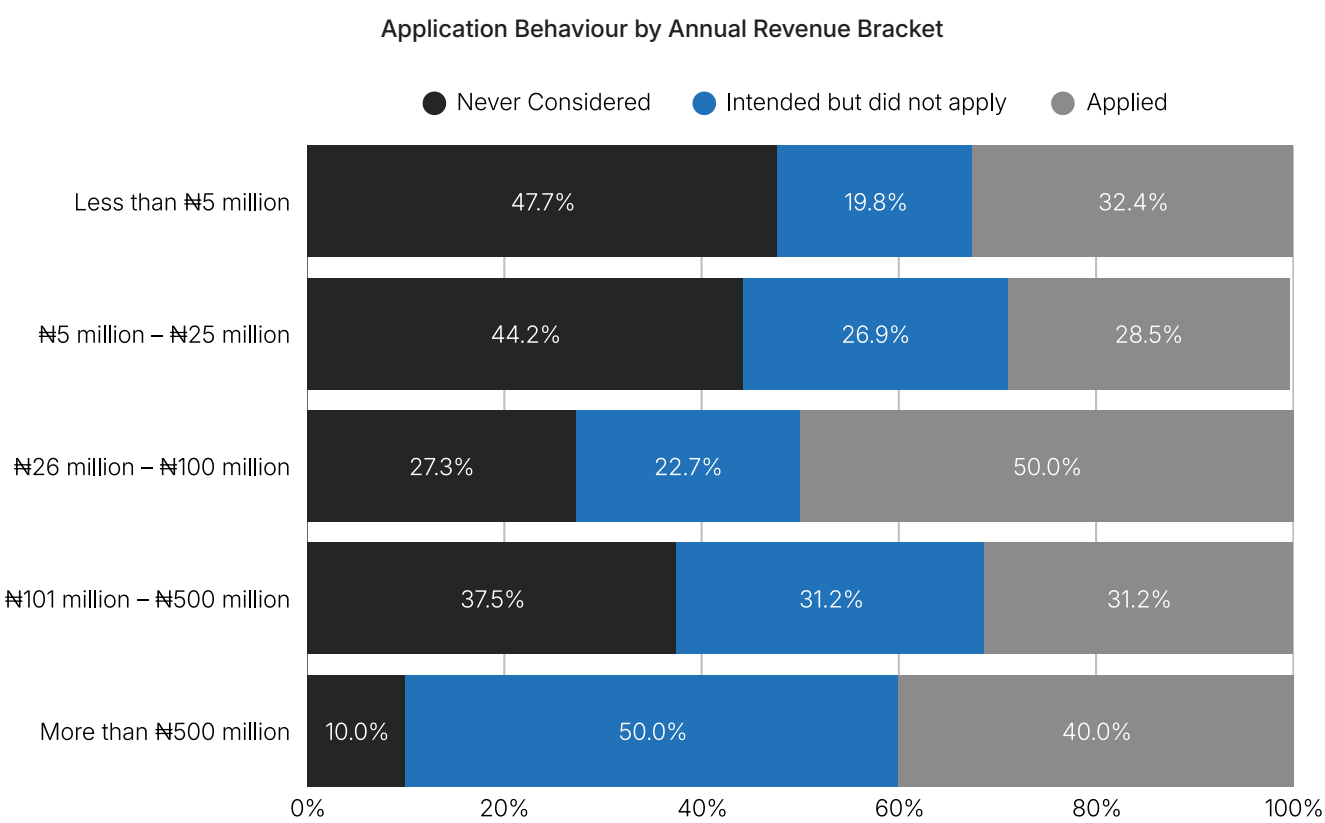


Source: WIMBIZ Survey, 2026

Figure 5: Application Rates by Years of Operation

Funnel by Revenue

Revenue shows a less linear relationship with application behaviour than business maturity, and reveals a missing-middle problem. The ~~₦5M–₦25M~~ cohort exhibits a lower application rate (28.5%) than the micro-survivalist bracket below it (32.4%). This could indicate that this group is underserved by micro-products and structurally locked out of commercial products. Furthermore, a secondary anomaly appears at the upper end of the spectrum. Businesses earning over ~~₦500~~ million show an application rate of only 40.0%, coupled with a 50% "intended-but-did-not-apply" rate.



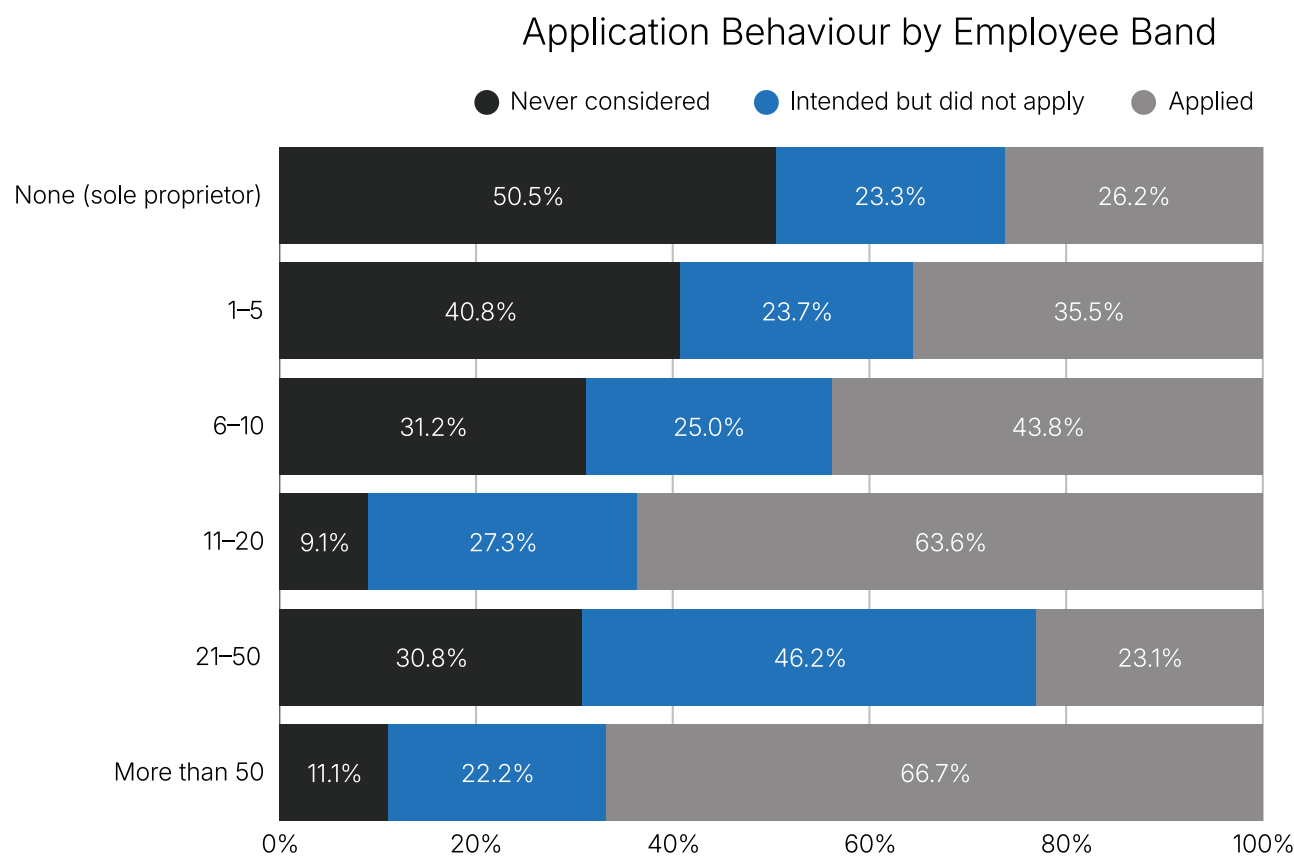
Source: WIMBIZ Survey, 2026

Figure 6: Application Behaviour by Annual Revenue Bracket

Funnel by Business Size (Employees)

Application rates broadly rise with workforce size, scaling from 26.2% for sole proprietors to 66.7% for businesses with over 50 employees. However, the 21–50 employee bracket severely disrupts this trend. This cohort exhibits the lowest application rate of any group above five employees (23.1%) and the highest "intended-but-did-not-apply" rate in the entire table (46.2%).

Businesses at this specific scaling threshold are likely seeking loan facilities that trigger aggressive commercial banking covenants, strict collateral thresholds and minimum formalization standards that they cannot easily satisfy, causing them to abandon the process before applying. Conversely, sole proprietors have both the lowest application rate (26.2%) and, among those who do apply, one of the highest rejection rates in the sample. They are the least likely to enter the formal credit funnel and the least likely to succeed if they do.



Source: WIMBIZ Survey, 2026

Figure 7:Application Behaviour by Employee Band.

Summary: Who Is Most Excluded?

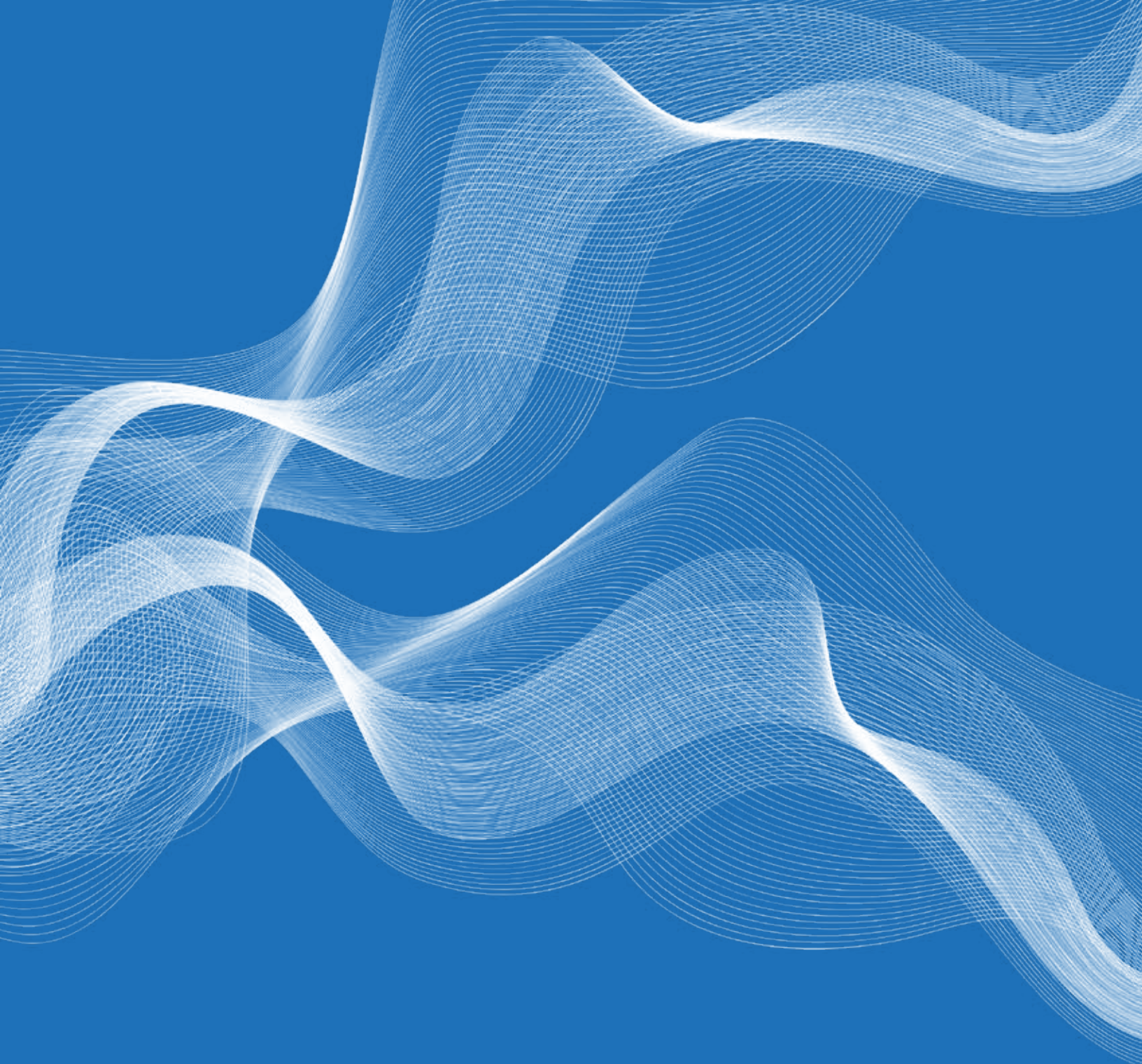
Taken together, the financing funnel analysis constructs a clear archetype of the most systematically excluded enterprise in this sample. The modal respondent effectively locked out of the formal financial system is:

	A sole proprietor or business with 1–5 employees.		Operating in the Fashion, Beauty or Wellness sector employees.
	Based in Lagos.		In business for fewer than 5 years.
	Earning under N 5 million annually.		Has never considered applying for formal finance.

At the other end of the spectrum, the least-excluded enterprise profile is:

	A manufacturing or professional services business with 10+ years of operation employees.		11+ employees.
	Earning N 26M– N 100M annually.		Based in Abuja.
	Still applies for formal finance at a rate of only 50–63% and still relies on informal finance for business continuity.		





Barriers to Accessing Finance

Women-led SMEs face barriers to finance on multiple levels: Legal rules around asset ownership, institutional credit processes, and social/psychological factors that make women entrepreneurs hesitant to seek formal funding.

This section shares survey data from the demand side (women entrepreneurs' views), backed by qualitative insights on the supply side (lenders' perspectives).

Structural Barriers

Structural barriers are those embedded in the legal, institutional, and property rights environment that shapes the conditions under which women can access finance, before they ever enter a bank or complete an application form. The most powerful structural barrier identified in this study is the dominance of land and property as a collateral requirement in a legal environment that constrains women's ability to independently own land. Land or property is the most frequently demanded collateral type by a significant margin, cited in 34 of 75 cases.

But, only 10 percent of land owners in Nigeria are women. To address the lack of traditional collateral, the CBN created the national collateral registry in partnership with the IFC, which allows for the use of movable assets as collateral. Movable assets include business equipment, furniture, and gold, and the platform allows banks to access the registered collateral. Despite the solution being available for about ten years, the intended utilization by MSMEs remains low, potentially due to lack of awareness or not owning qualifying movable assets.

"The eastern part of Nigeria right up until a few years ago where there was that landmark ruling, women were not allowed to own land. If you were the only girl with five boys, if the father passed, they would distribute whatever land was available to the other five and the girl won't get anything."

Commercial Banker

Collateral demand and rejection outcomes

Applicants who were required to provide collateral face a rejection rate of 33.3%, compared to 19.4% for those not asked for collateral. This represents a rejection rate 71% higher among those subject to collateral requirements. Collateral is not simply a barrier to entry, it is correlated with worse outcomes even among those who provide it. Collateral demand rises sharply with revenue, from 24.3% among the smallest businesses to 60% among the largest. This could imply that larger businesses are applying for larger facilities, which trigger more stringent security requirements.

Collateral demand is associated with a 71% higher rejection rate.
% of applicants by outcome, comparing those required vs not required to provide collateral.

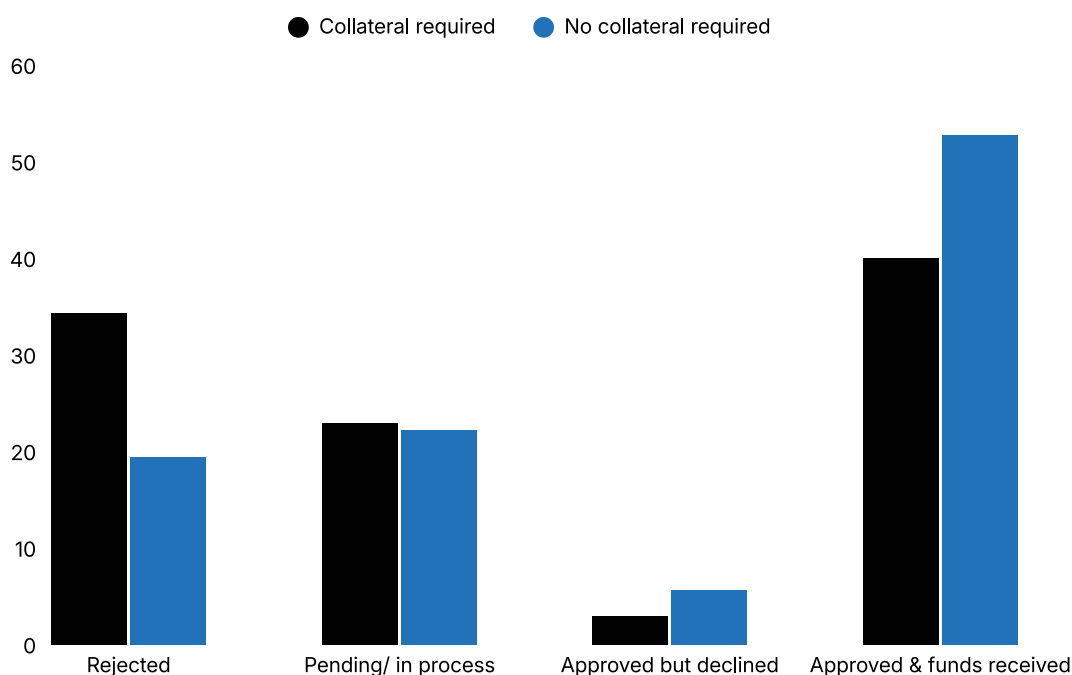


Figure 8: Collateral demand is associated with a 71% higher rejection rate.

"I was told to bring documents of my landed properties... it was in my husband's name and then the bank, they will never accept that."

Business Owner

"... a lot of times women don't have property in their names even when they actually contributed somewhat to the acquisition of that property."

Microfinancier

Credit History Exclusion

Among the respondents whose most recent application was rejected, poor or no credit history was cited as a rejection reason by 33.3% of rejected applicants, equal in frequency to insufficient collateral. Formal credit scoring models in Nigeria rely on documented borrowing history, which women-led SMEs have not been able to build due to decades of reliance on informal finance.

Procedural Barriers

Procedural barriers are those that arise within the application and decision-making processes of financial institutions, the documentation requirements, timelines, communication practices, and risk assessment approaches that applicants encounter once they engage with the system.

Lack of Clarity in the Financing Process

The absence of clear, standardized, and timely information about lending requirements creates a significant procedural barrier that halts applications before they are completed. One in three rejected applicants (33.3%) were given no reason for their rejection. This lack of transparency prevents entrepreneurs from correcting their application, seeking a different product, or understanding what is required for future eligibility.

Respondents who had applied for formal finance rated nine dimensions of the application process on a 1–5 scale (1 = very difficult/unfair, 5 = very easy/fair). Overall, business owners who applied rated crucial institution-controlled dimensions, including lender communication (2.58/5) and speed of review (2.46/5), among the worst of the entire financing process, confirming a failure to provide the necessary clarity. The three highest-scoring dimensions, completing the form (3.21), understanding eligibility (3.11), and gathering documentation (3.06), are all things applicants manage themselves.

"The process... is so technical that people even have to charge entrepreneurs to help them fill the form or coach them on how to fill the forms so that they can be eligible."

Business Owner

"The list of things they wanted us to bring. It was just as if I should mortgage my children. I should go and bring my great-grandfather's death certificate."

Business Owner

"My bank would tell me I have to deposit that 25 million before they can give me a bank guarantee... If I have the money, why do you think I need a loan?"

Business Owner

"For example, during the COVID-19 pandemic, a woman received a palliative loan without the institution clearly explaining it was a loan. When the bank began debiting her account for repayment, she abandoned the bank and began keeping her money at home, effectively pushing her out of the formal financial system."

Development partner

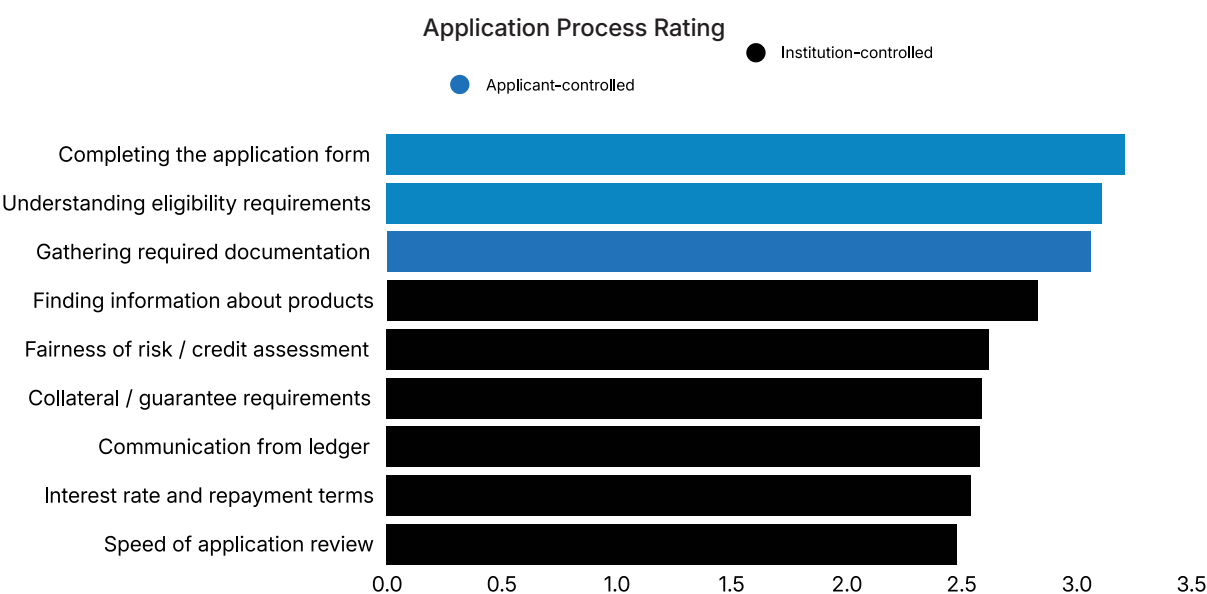


Figure 8: Application Process Ratings

Rejection Without Explanation

Among the rejected applicants (33.3%) received no reason for their rejection. 1 in 3 rejected applicants was left without any information to act on. This opacity could compound any existing discouraged borrower effect. Women who receive no explanation cannot correct their application, cannot seek a different product, and are more likely to internalise the rejection as a signal that formal finance is simply not for them. Mandatory rejection disclosure is one of the lowest-cost, highest-impact interventions available to regulators.

Rejection reason	% of rejected
Insufficient collateral	33.3%
No reason given	33.3%
Poor or no credit history	33.3%
Insufficient turnover / financial records	23.8%
Industry or sector not supported	14.3%
Business too young	9.5%
Incomplete documentation	4.8%

High Interest Rates

Among the nine dimensions of the financing process rated by applicants, interest rates and repayment terms received a score of 2.54 out of 5, the second lowest institution-controlled rating in the dataset. Lower interest rates is the second most cited reform priority, named consistently across all three cities. At current commercial lending rates, which respondents reported as high as 46%, the cost of borrowing is prohibitive even for businesses that successfully navigate the application process and receive approval.

"My bank told me 2 days ago... the debt financing, the one you can get from your bank, you know, is now 46.1%. For crying out loud, 46.1% for what?"

Insufficient collateral
Business Owner

No reason given
"You start the process with a certain percentage of interest and before you know, before you pay down the loan, they have increased it about five times."

Business Owner



Behavioural and Social Barriers

Behavioral and social barriers operate on the demand side, influencing whether women entrepreneurs even see formal finance as relevant, accessible, or worth pursuing, before any interaction with institutions begins. Among the 94 respondents (41.2%) who never considered applying for formal finance, the most common reasons fell into three themes: anticipated rejection or ineligibility, unfamiliarity with products and processes, and a deliberate preference for informal finance seen as more reliable or less burdensome.

Additionally, several respondents cited they were managing through personal savings and informal networks. Conversely, 25% of respondents thought about applying but did not follow through. The reasons cited for not following through include unfavourable interest rate expectations, documentation burden, slow or opaque processes, or perceptions of loans and, in other cases, discouragement following informal enquiry with a lender before a formal application was initiated. Supply-side actors on the other hand, attribute application concerns primarily to cultural attitudes toward credit and debt repayment, rather than to structural or institutional barriers.

"I have not personally accessed finance from banks, perhaps due to the experiences of people close to me, the fear of having to repay the borrowed money."

Business Owner

"They see anything relating to the government as national cake and anything relating to the bank as their own share."

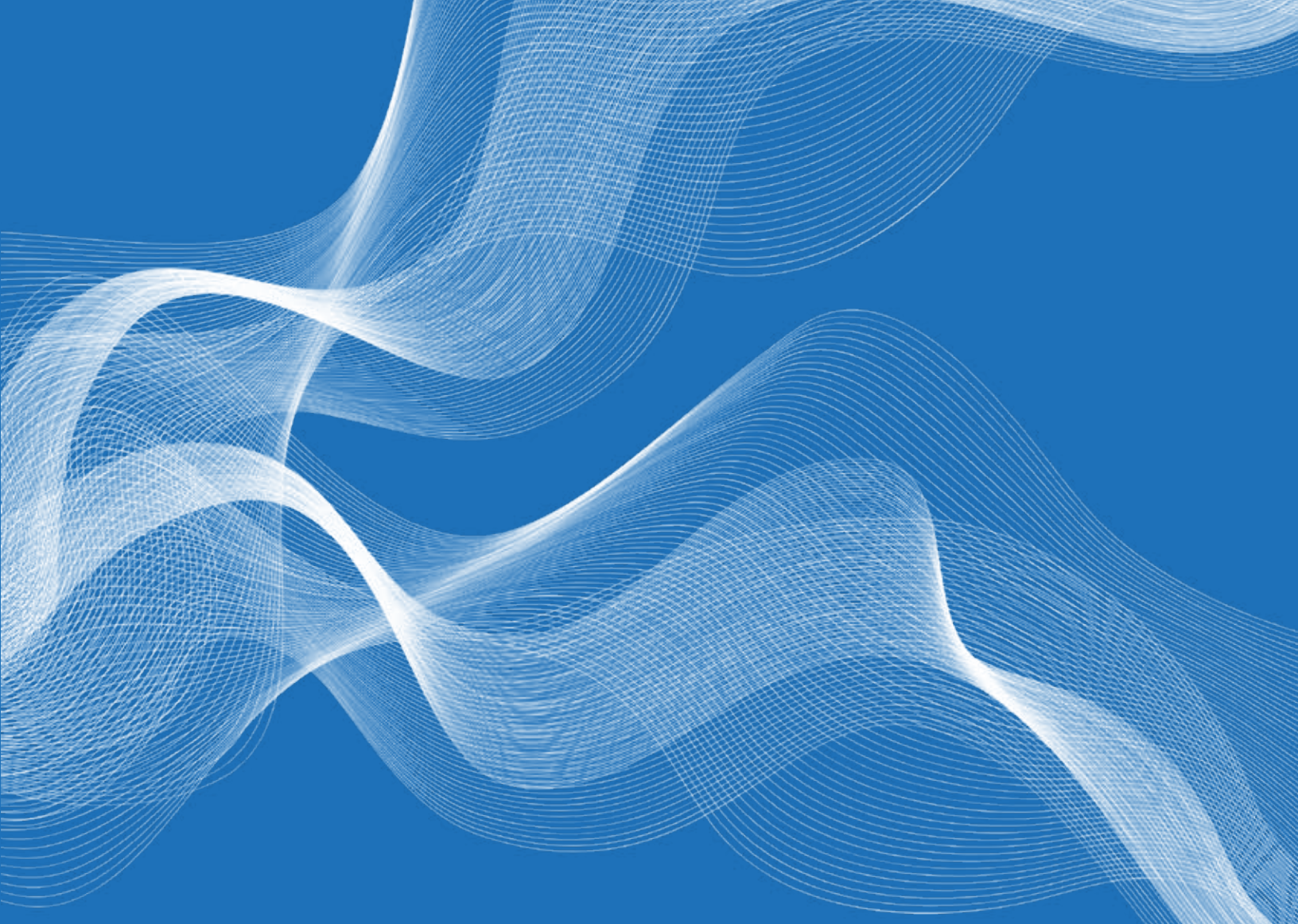
Commercial bank

"I am above the age of 60 and I have encountered age-related barriers in accessing finance. I think we should shift from just looking at age... and look at the value that's being added."

Business Owner

"...I think we have a very poor credit culture in Nigeria. So people don't really understand how credit works. They don't understand that you're supposed to pay it back. It's not your cake."

Regulator



Awareness of Trade Finance Instruments by Women - Led SMEs

Trade finance, the set of financial instruments that support the buying and selling of goods, including trade credit, invoice discounting, purchase order finance, letters of credit, and supply chain finance, is a financing category with particular relevance to the sectors most represented in this sample.

Fashion and textiles, food processing, agriculture, and trade and retail are all businesses with supply chain financing needs: they purchase stock, manage supplier payment cycles, and often wait for customer payment before receiving revenue. Access to trade finance instruments could, in principle, address precisely the working capital gaps that prevent many of these businesses from growing.

This study was not designed to measure trade finance access specifically, and the survey instrument does not include a dedicated trade finance module. What the data does contain are two relevant signals: the awareness rate for NEXIM Bank's trade finance products within the government programme awareness question, and the prevalence of supplier trade credit as an informal financing mechanism. These are reported below. A more detailed investigation of trade finance access for women-led SMEs in Nigeria would require a purpose-built instrument and is recommended as a priority area for follow-on research.

Awareness of Formal Trade Finance Products

Respondents were asked whether they were aware of a list of named government and development finance programmes, including NEXIM Bank's trade finance products. These products ranked second in recognition, with 14 respondents indicating awareness, ahead of CBN's Targeted Credit Facility, BOI/NIRSAL, and GEEP, placing them in the upper tier despite NEXIM's primary focus on trade rather than general SME lending. However, recognition does not equate to understanding or intent to access. Broader findings confirm this gap, 75.4% of respondents across all programmes either never heard of any facility.

"The Bank of Industry has the GLOW loan which is for women... The interest rate is under 10%. Now if you ask me how many women have actually taken advantage of that loan, I'm sure there's very few because either...there's a knowledge gap or they just don't feel confident enough..."

Microfinancier

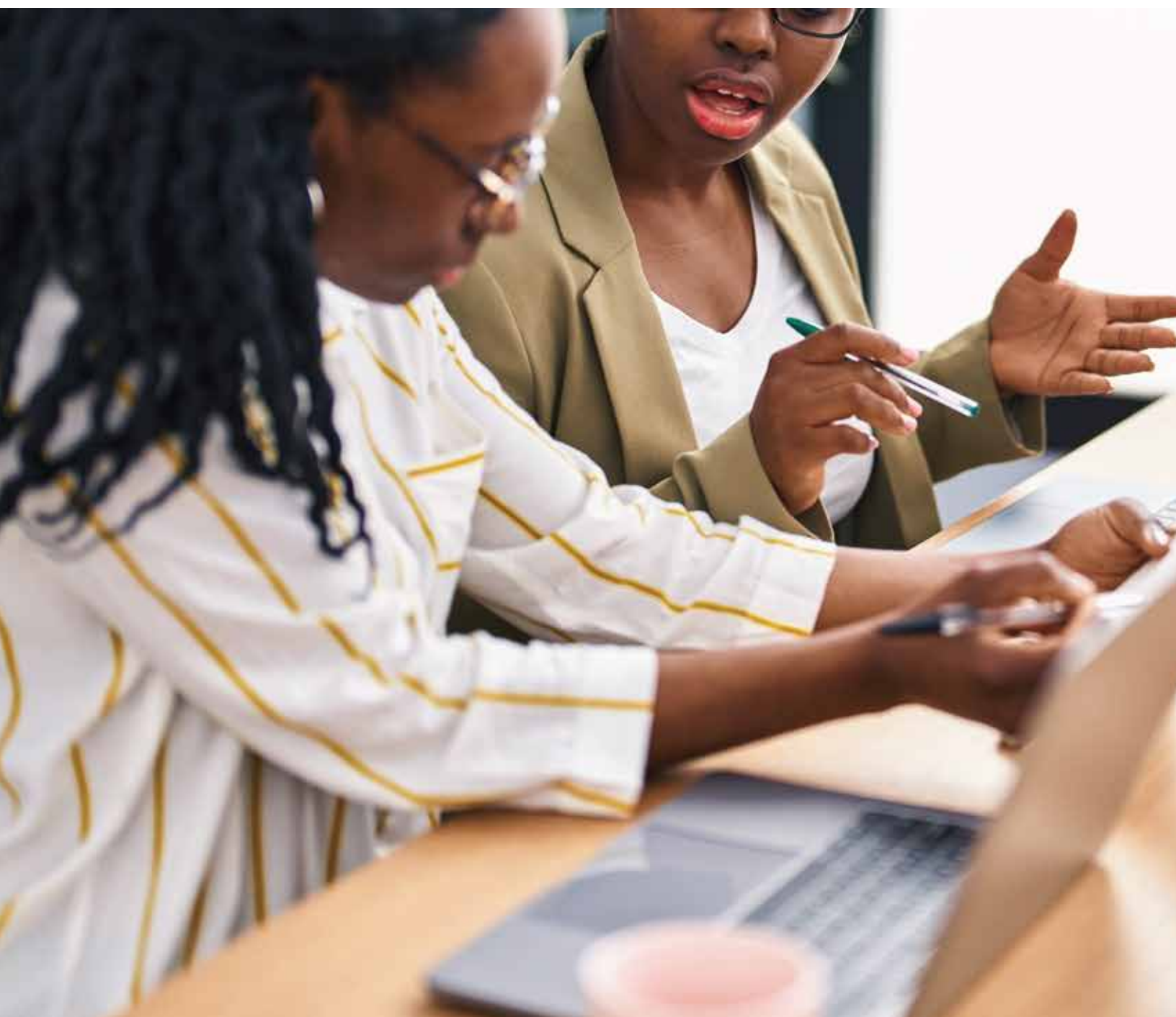
"If these women simply knew what products were available, they would probably take the right steps and access what's available"

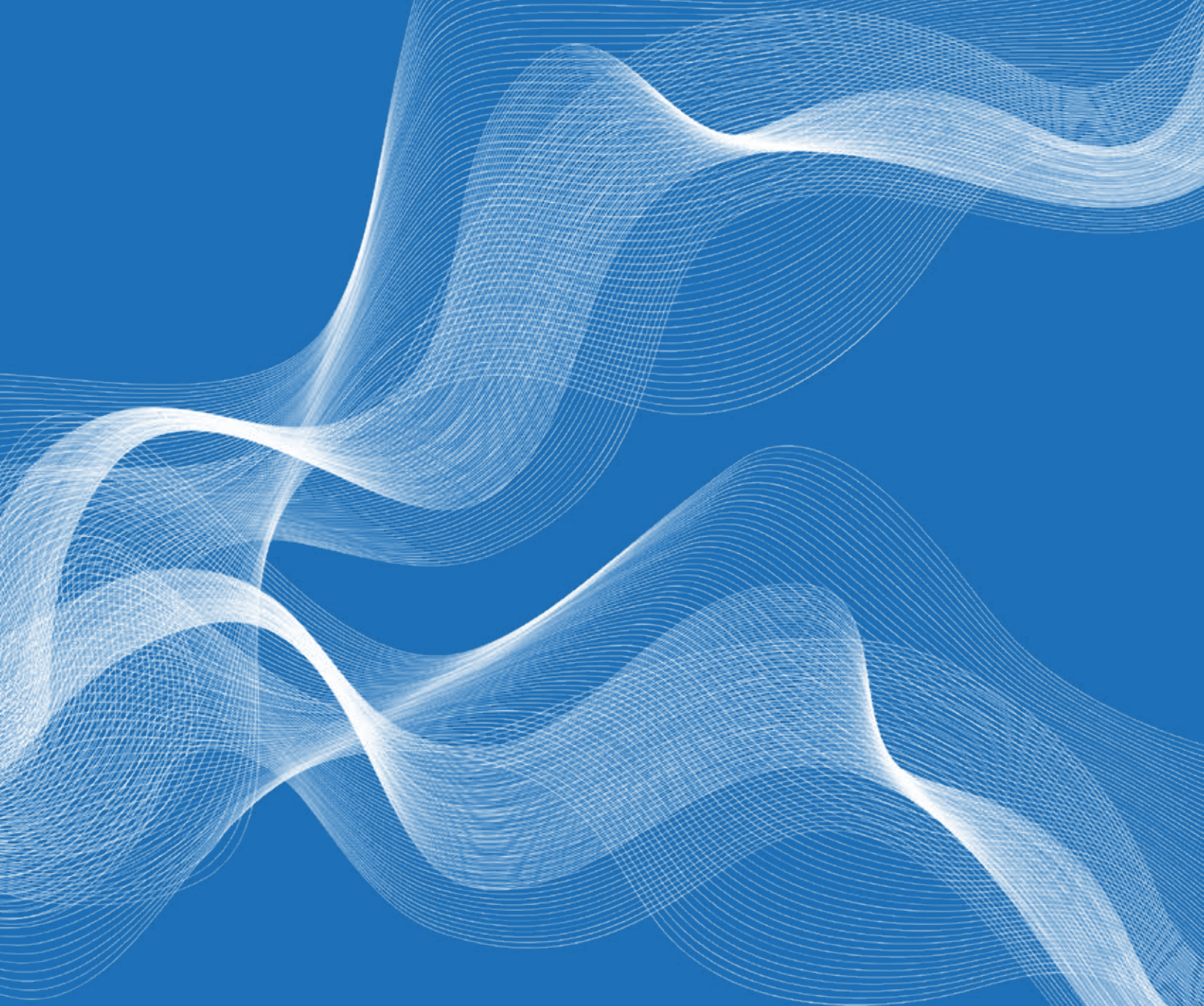
Commercial Bank

Trade Credit as an Informal Proxy

In the absence of formal trade finance products, a significant proportion of respondents rely on supplier trade credit, deferred payment arrangements negotiated directly with suppliers, as an informal substitute. Among the informal finance mechanisms used by respondents, trade credit from suppliers was cited by 10.5% of the sample, the fifth most commonly used informal mechanism after personal savings (44.3%), family loans (25.4%), customer advance payments (11.8%), and rotating savings groups (11.4%).

The use of informal trade credit is a demand-side signal. These are businesses that need short-cycle working capital to manage their supply chains and have found a community-based solution to that need. Access to formalised, affordable, structured instruments that could serve the same function at greater scale and lower personal risk is necessary.





Supply-Side Tensions and Innovations

The demand-side evidence presented in preceding sections establishes a clear picture of where and why women-led SMEs exit the financing funnel. However, the financing gap is not produced by demand-side behaviour alone.

Engagements with senior executives across commercial banks, specialised microfinance institutions, development partners, and the Central Bank of Nigeria reveal that structural misalignments within the supply side actively reproduce the gap – often in direct contradiction to the explicit inclusive mandates of the individual institutions.

This section presents the institutional perspective: how lenders frame the access problem, where the credit system breaks down at the macro level, and critically, what is already working where institutions have committed to doing things differently.

How Institutions Frame Barriers to Access

The prevailing logic within financial institutions is that the credit evaluation system itself is entirely objective. However, qualitative engagements exposed a stark contrast between the official institutional posture and the internal operational reality.

The Official Institutional Stance (The 5 C's)

From the supply side, the standard underwriting framework is presented as objective and gender-neutral. A senior executive at a leading commercial bank noted that credit officers strictly evaluate the “Five C's of credit” (Capacity, Capital, Conditions, Character, and Collateral) to ensure acceptable risk, irrespective of the applicant's gender. Collateral requirements are framed not as discretionary decisions, but as inflexible statutory obligations designed to protect the financial system from systemic default. Consequently, there is a growing supply-side consensus that the burden of capital readiness lies entirely with the female applicants. Women are increasingly advised to self-fund first through equity release – liquidating personal assets such as gold or fabric inventory – before approaching formal institutions.

The Internal Operational Reality (“Implicit Bias”)

This rigid institutional defense is partially contradicted from within. A commercial bank's divisional head acknowledged candidly that “the supply side has more work to do,” pointing to intentional institutional design, not applicant readiness, as the actual lever required to increase women's engagement. A microfinance banking leader explicitly named unconscious bias among loan officers as an active, unquantified barrier. This tension proves the supply side is not monolithic; institutions that interrogate their own design processes produce measurably different outcomes.

Systemic Misalignments: Where Institutional Logic Breaks Down

Beyond individual bank policies, four structural misalignments shape the macroeconomic supply-side environment, effectively stranding women-led SMEs in the "Missing Middle":

DFI Gatekeeping and Incentive Conflicts

Development Finance Institutions (e.g., DBN, BOI) carry formal mandates to serve women-led MSMEs at concessionary interest rates. In practice, this capital reaches end-borrowers only through commercial and microfinance bank intermediaries. Because commercial banks bear 100% of the credit risk on DFI on-lending, they apply their standard, risk-averse collateral models to development funds, effectively defeating the purpose of the intervention.

More acutely, a senior CBN official confirmed that the incentive structure at the loan-officer level actively works against DFI capital deployment. An officer aware that their institution has a proprietary product at 30% interest has no financial incentive to present a client with a 9% DFI facility. Profitable borrowers are steered toward commercial products and then DFI capital goes undeployed. The result is that institutional mandates and market incentives are in direct opposition at the transaction level.

Underutilization of the National Collateral Registry

In direct response to the land collateral problem, the CBN, in partnership with the IFC, established the National Collateral Registry. The Registry enables movable assets, business equipment, machinery, inventory, and gold, to serve as registered collateral. Yet, supply-side utilisation remains critically low. Commercial banks are not systematically accepting movable collateral under the Registry framework, with credit committees maintaining that traditional real-estate requirements remain the statutory standard.

“One of the solutions that we had put out as a central bank...was we created the national collateral registry and we did that actually in partnership with the IFC ...what the collateral registry allows to do is use movable assets to get loans.”

Financial Regulator

Monetary Policy and Fiscal Policy Friction

The expectation that commercial banks can price loans to women-led SMEs at affordable rates while the Monetary Policy Rate sits at at historically high, restrictive levels is arithmetically unviable. The cost of funding and the regulatory requirements that banks must satisfy make single-digit pricing structurally unviable without external concessionary support. Furthermore, while the CBN can encourage affordable lending, it cannot resolve the multiple-taxation burden imposed by fiscal authorities.

"Fiscal and monetary bodies are supposed to be married but I think we are a couple that hate ourselves, because on our own end we're putting out policies but they are doing things that don't support our policies..."

Financial Regulator

Women-led Businesses Are Not Well Defined

A prerequisite for any portfolio mandate, gender data utilisation, or programme eligibility decision is a shared, enforceable definition of what constitutes a "women-led" or "women-owned" enterprise. No such standard exists. Across the institutions engaged in this study, the ownership threshold used to classify a business as women-led ranged arbitrarily from 5% to 51%. In practice, a single business may qualify as women-led in one institution's portfolio and not in another's, rendering gender data entirely incomparable across the ecosystem.



Proof of Concept: Market Innovator Spotlights

Across the qualitative engagements, specific institutions demonstrated concrete structural design changes that successfully bypass the friction points identified in the demand-side survey.

WEMA

Cash-Flow Underwriting: Wema Bank has eliminated traditional collateral requirements for SME loans up to approximately ₦50 million. Credit assessments are based entirely on twelve months of consistent, demonstrable cash flow, directly servicing the ₦5M–~~₦25M~~ "Missing Middle."

Algorithmic Gender Recognition: The bank embedded a proprietary algorithm in its digital lending infrastructure that automatically identifies female applicants, applying concessionary pricing and bundled health insurance without requiring a separate, manual application.

Portfolio Intentionality: Wema Bank's gender portfolio currently constitutes 35% to 40% of a ₦1.5 trillion divisional book (with an institutional target of 50%), disbursing formal loans to approximately 70% of assessed applications.

Mayden Microfinance Bank

Real-Time POS Repayment: Operating with a mandate to allocate 70% of its portfolio to women, Mayden MFB deploys Point-of-Sale (POS) machines to market-based SMEs. The bank deducts 15% to 20% of daily sales in real-time as loan repayment. This entirely bypasses the need for audited financials, converting daily working capital into a continuous repayment stream.

Flexible Collateral Matrix: To bypass the rigid real-estate barrier, the bank's credit risk committee formally accepts shares, jewellery, hypothecated stock, and vehicle chattel as primary collateral.

The Mispricing of Gender Risk

The ultimate paradox of the Nigerian SME credit market is that women-led enterprises are statistically the most reliable corporate borrowers. Multiple senior financial sector actors, including a representative from Women's World Banking, noted that women consistently exhibit the lowest non-performing loan (NPL) ratios, with one institution reporting near-zero default rates within its women-led portfolio.

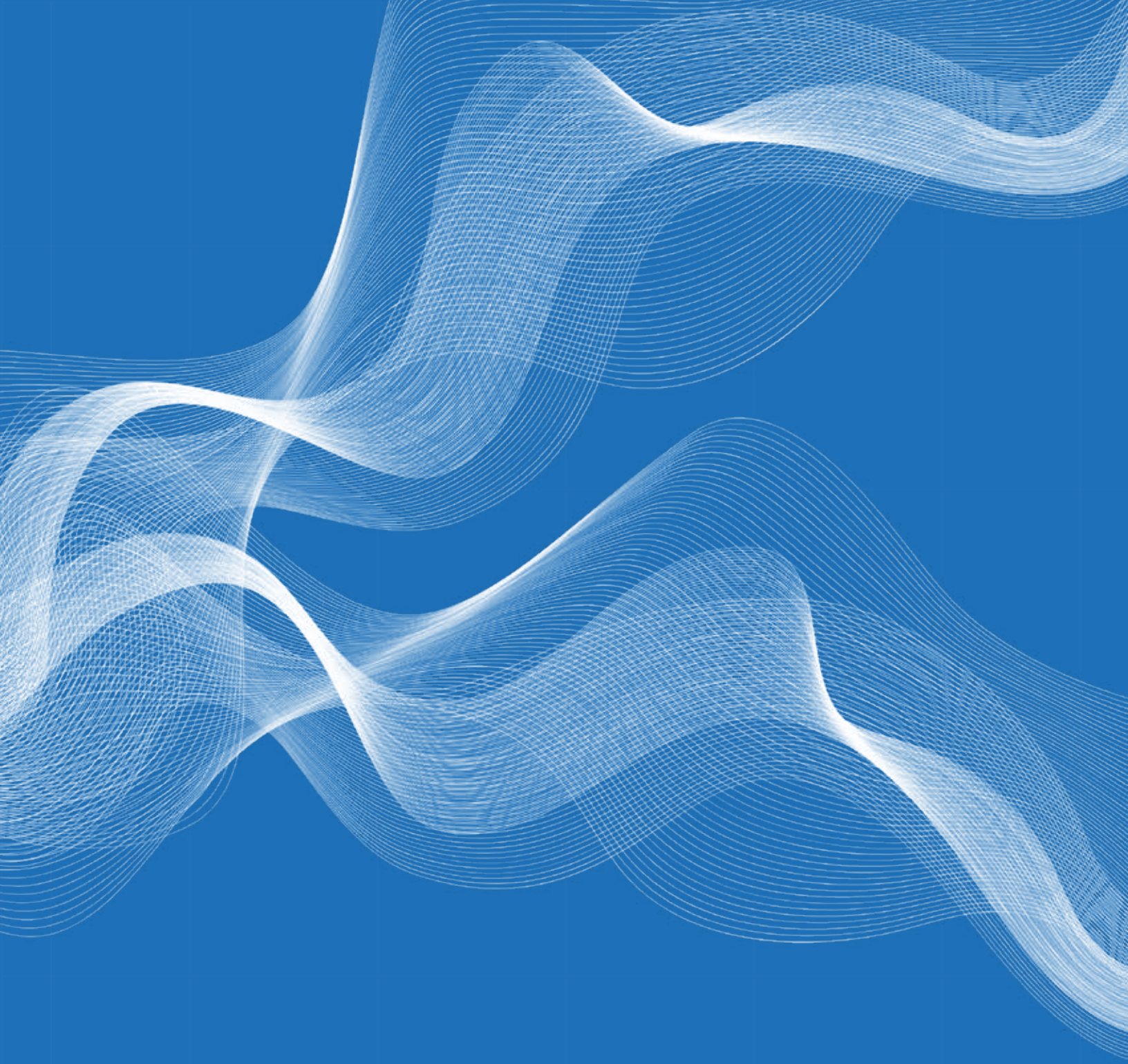
"I don't know a bigger business case in terms of credit."

Women's World Banking Representative

The business case is not disputed. What is absent is any systematic translation of that evidence into institutional pricing and underwriting. The consequence is a form of collective market mispricing: women-led portfolios carry lower default risk, but that lower risk is not reflected in the capital adequacy requirements, risk weightings, or interest terms applied to women-led applications.

The system continues to price women as high-risk borrowers on the basis of collateral asset profiles, actively ignoring the repayment performance data that should dictate wider access.





Priority Recommendations

1. Reform the Collateral Framework

By insisting on real-estate collateral, banks are ignoring a massive market of creditworthy women who simply do not hold property titles. The CBN's National Collateral Registry, established in partnership with the IFC, already provides the legal and operational infrastructure to accept movable assets including equipment, inventory, and gold, as registered collateral. Commercial banks must be required to actively utilise this mechanism. Additionally, commercial banks should universally adopt cash-flow-based underwriting methodologies, evaluating scaling businesses on digital payment footprints and verifiable inventory rather than property titles. To make both reforms viable for banks, the CBN and DFIs must anchor a dedicated risk-sharing facility, providing partial guarantees on loans to women-led SMEs, so that accepting alternative collateral does not mean absorbing unmanageable risk.

2. Implement Regulatory Portfolio Mandates and Enforce Data Utilization

The CBN must transition from encouraging financial inclusion to mandating it, requiring commercial banks to allocate a minimum (30% recommended) of their MSME loan portfolios to women-led enterprises. To support this, regulators must mandate the active utilization of gender-disaggregated data in credit scoring to lower capital adequacy requirements for these historically high-performing portfolios. Additionally, to combat the 41.2% "discouraged borrower" effect, the CBN must mandate financial institutions to provide written, specific rejection reasons to all SME applicants, bringing transparency to the underwriting process.

3. Enforce Distribution and Awareness Mandates

With 75.4% of women-led SMEs unaware of existing intervention funds, DFIs can no longer rely on passive awareness. Regulators must enforce strict distribution and marketing mandates on participating commercial banks. This includes a "Point-of-Rejection Routing" mandate: if a woman-led SME is rejected for a standard commercial facility, the bank must automatically present and evaluate them for available DFI gender-intervention funds.

4. Standardize and Simplify the Application Process

Commercial banks must overhaul SME origination to reverse demand suppression. Institutions should deploy transparent, digital-first advisory services to guide applicants before formal submission, specifically addressing severe regional communication deficits. Export and trade agencies (e.g., NEXIM) should deploy embedded supply-chain financing, partnering directly with FMCGs to finance women-led distributors based on verified invoice histories rather than fixed collateral.

5. Invest in Programme Navigation and Investment Readiness

Ecosystem enablers, including public agencies and third-sector organisations, must move beyond generic business training. Capital should be directed toward targeted technical assistance programs strictly focused on "investment readiness" – helping mid-sized women-led SMEs formalize financial reporting, digitize operations, and navigate the specific risk and compliance documentation demanded by Tier-1 institutions.

6. Establish a Centralized Intervention Harmonisation Framework

Nigeria's funding ecosystem for women is deeply fragmented. Multiple agencies including the BOI, DBN, and various development partners operate with overlapping mandates but lack a shared deployment roadmap. This siloed approach makes it nearly impossible to track aggregate capital flows, identify underserved cohorts, or guide entrepreneurs efficiently.

The Federal Ministry of Finance, in conjunction with the CBN, must convene a centralized intervention clearinghouse. This coordinating framework should be established, mapping every active DFI initiative against the structural barrier taxonomy used in this study, ensuring that capital deployment is sequenced, measurable, and strategically unified.

7. Harmonize Fiscal Policy and Alleviate Multiple-Taxation Burden

Monetary interventions and concessionary credit are effectively neutralized when fiscal authorities concurrently drain SME working capital through aggressive multiple taxation. Targeted tax relief and corporate income tax exemptions must be recognized not merely as fiscal leniency, but as indirect capital injections with immediate cash-flow implications for scaling businesses. Rather than simply publishing advisory guides, the National Revenue Service (NRS) and the Joint Tax Board (JTB) must deploy a unified, single-tax framework for micro and small enterprises. By statutorily capping the aggregate tax burden and formally integrating tax relief with DFI loan disbursement, policymakers can permanently align fiscal extraction with monetary empowerment.

8. Align Capital Structuring with Sector Realities

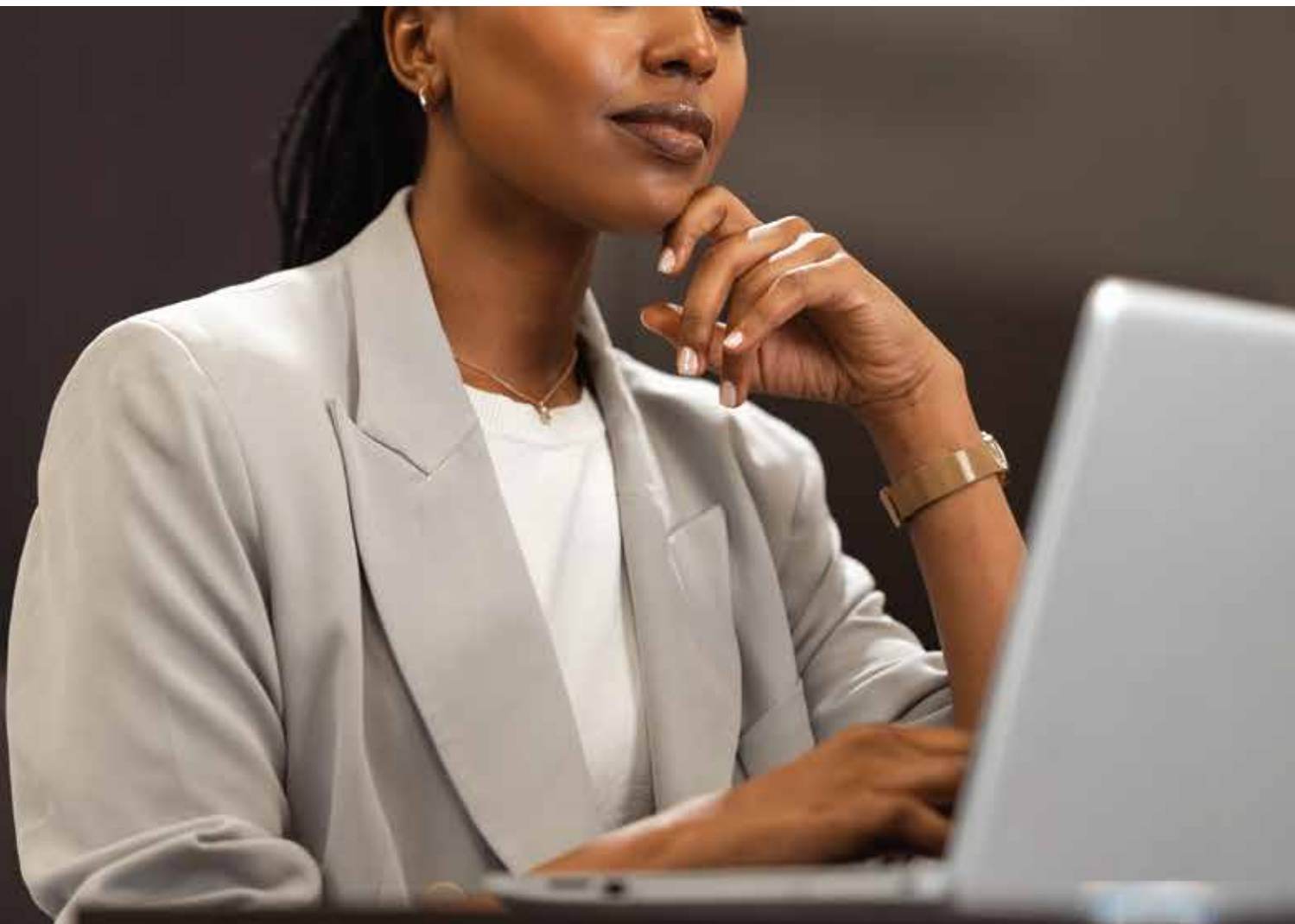
Generic loan products are structurally incompatible with the operational realities of women-led SMEs. Financial institutions must shift to patient capital tenors of 8–10 years and implement liquidity bundling, automatically pairing asset financing with a working capital component to cover payroll and inventory and prevent immediate default. Financial institutions must design products that fit how these businesses actually operate: longer repayment windows of up to ten years, capital structured to cover both assets and day-to-day costs, and approval timelines that respect sector cycles. For example, an agrifood loan approved after the planting season does not just fail the borrower but guarantees a default. Finally, lending mandates must be expanded to cover intangible digital infrastructure, including SaaS subscriptions and web development, to serve the growing population of women-led businesses in professional services and the digital creative economy.

9. Mandate Internal Sensitisation as a Compliance Requirement

The distribution deficit is not solely an awareness problem, it is significantly driven by internal institutional failure. Regulators must mandate sensitisation and unconscious bias training for all branch-level staff as a core compliance metric, not a discretionary HR initiative. This mechanism can reliably dismantle the illegal practice of demanding spousal consent and ensure that products designed at headquarters actually reach the women they were built for.

10. Resolve the Prudential Framework Contradiction

Existing credit guarantee infrastructure is being rendered ineffective by regulatory contradiction: the CBN's prudential guidelines continue to penalise banks for unsecured lending, even when a state-backed guarantee is in place. The CBN should align its risk frameworks to ensure immediate principal payout to banks upon default. In parallel, banks must partner with specialist insurance brokers to legally value and accept non-traditional assets as viable collateral. Origination processes must also be radically simplified, with a centralized, publicly accessible funding directory that maps all available MSME facilities, eligibility criteria, and direct contacts, directly addressing the time constraints that disproportionately burden female entrepreneurs.



Annex 1

Overview of Existing SME Finance Instruments

The Nigerian MSME sector comprises approximately 39.6 million businesses, representing 96.9% of all enterprises in the country. Despite their dominance, these businesses, largely micro-enterprises operating in the informal economy, contribute disproportionately little to exports (approximately 6.21%, compared to nearly 50% in India).

This competitiveness gap is largely driven by a structural mismatch between available financing and the long-term capital required for industrial scaling. The Small and Medium Enterprises Development Agency of Nigeria (SMEDAN) categorizes the sector to guide policy intervention.

Size Category	Employment	Turnover (₦)	Policy Focus Area
Nano/Homestead	1 - 2	Less than 3 million	Grants, Poverty Reduction
Micro Enterprises	3 - 9	3 - 25 million	Financial Inclusion, GEEP
Small Enterprises	10 - 49	25 - 100 million	Credit Access, Formalization
Medium Enterprises	50 - 199	100 - 1,000 million	Export Growth, Industrialization

The Gendered Credit Gap

While bank lending to SMEs historically remains less than 1% of total private-sector credit, female entrepreneurs, who own approximately 43% of micro and small enterprises, face amplified barriers.

Despite demonstrating a 15% higher average return on capital, women face higher rejection rates and receive lower credit amounts. These constraints are institutional and socio-cultural, ranging from restrictive social norms to the stark reality that women hold only 10% of land ownership nationally.

The Role of Development Finance Institutions (DFIs)

DFIs and federal programs lead the deployment of concessionary capital to move female entrepreneurs from the informal sector into bankable entities.

The Bank of Industry (BOI)

BOI has institutionalized women's economic empowerment, committing 15% of its total loan portfolio to women-led businesses. A flagship intervention is the "Guaranteed Loans for Women" (GLOW) initiative, a ₦10 billion fund providing loans up to ₦50 million at a 7% interest rate. By partnering with the National Credit Guarantee Company (NCGC) to provide a 25% credit guarantee, BOI reduces bank exposure, allowing for flexible collateral like all-asset debentures.

The Development Bank of Nigeria (DBN)

Functioning as a wholesale institution, DBN provides funding and partial credit guarantees to Participating Financial Institutions (PFIs). Women account for 65.75% of its end-borrowers. Utilizing its subsidiary, Impact Credit Guarantee (ICG), DBN provides the risk-sharing infrastructure necessary for PFIs to extend MSME loan maturities to three years.

The Government Enterprise and Empowerment Programme (GEEP)

Conversely, GEEP's direct-to-beneficiary approach—specifically through TraderMoni and MarketMoni—has achieved a measurably wider reach among micro-entrepreneurs. By bypassing the rigid underwriting requirements of commercial banks, GEEP successfully penetrates the informal survivalist tier, though it does not provide the scale of capital required for the "Missing Middle."

¹A Review of the 2021-2025 National Policy on Micro, Small and Medium Scale Enterprises (MSMEs) Nigeria <https://www.canr.msu.edu/fsg/projects/RSM2SNF%20MSME%20Review%2013-04-2023.pdf>

²SMEs get just 0.5% of banks' credit in 10 years - Vanguard News <https://www.vanguardngr.com/2026/01/smes-get-just-0-5-of-banks-credit-in-10-years/>

³Only 10% of Landowners in Nigeria are women. <https://punchng.com/only-10-of-landowners-in-nigeria-are-women-fg/>

⁴BOI Fact Sheet. https://www.boi.ng/wp-content/uploads/2025/10/BOI_Fact-Sheet_A4-booklet_v3.pdf

⁵Overview of the Development Bank of Nigeria PLC. <https://www.smefinanceforum.org/sites/default/files/DBN.pdf>

Programme	Implementing Agency	Funding Type / Scale
GEEP (TraderMoni / MarketMoni)	Federal Government	Progressive, interest-free micro-loans (₦10,000)
MSME Intervention Fund & RAPID	Bank of Industry (BOI)	Enterprise development support targeting women and youth.
CBN Presidential MSMEDF	Central Bank of Nigeria (via PFIs)	₦220B wholesale fund with a 60% allocation mandate for women.
Conditional Grant Scheme (PCGS)	BOI & State Structures	₦50,000 non-repayable grants for nano-entrepreneurs (women prioritized).
DBN & ICGL	Development Bank of Nigeria	Wholesale lending and \$195M in risk-sharing guarantees.

Commercial Banks: Market Incentives and Gender Propositions

Commercial banks act as the primary conduits for transactional banking and high-volume credit. To remain competitive, banks are introducing tiered pricing models and specialized gender propositions, recognizing the historically lower non-performing loan (NPL) ratios of women-led portfolios.

Bank Products	Target Audience	Key Features	Interest Rate / Terms
Access Bank 'W' power	Women-owned firms (1%)	Provides ₦1 million to ₦100 million in loans (up to ₦10 million without traditional collateral)	24% p.a.
FirstBank FirstGem	All women (business & personal)	Offers collateral-free initial loans up to ₦3 million, leveraging DFI partnerships to offer single-digit interest rates	9% p.a.
FCMB "SheVentures"	Must be owned/run by a woman	N1 billion in interest-free loans, BOI Gender Loan N300 million	0-16% p.a.
Sterling Women Empowerment Fund	Designed for women-owned and women-led businesses	Loan Limits (Up to N75 Million)	28% per annum p.a.
Fidelity Bank: "FundHer"	50% female ownership	Offers credit limits up to ₦100 million with zero collateral for smaller loans, targeted at businesses with 50% female ownership	28% p.a.

Other Gender-Focused Initiatives and Global Policy Frameworks

The Nigerian government, in collaboration with international agencies, has implemented several high-level initiatives to address the \$42 billion financing gap facing women entrepreneurs across Africa. These initiatives represent a transition from charity-based empowerment to strategic economic inclusion. Adopted by Nigeria in late 2024, the WE Finance Code is a voluntary pledge by financial service providers to close the MSME finance gap. Signatories commit to designating senior leadership champions, utilizing sex-disaggregated data to correct the "data gap," and implementing specific financial measures to support women-led enterprises.

Annex 2: Methodology

Survey Design

This research is organised around two complementary analytical tools designed to isolate precisely where and why capital deployment fails for women-led SMEs.

The Financing Funnel Model

Adapted from the International Finance Corporation's (IFC) SME finance methodology, this model maps the enterprise journey to formal credit. By measuring drop-offs at exact friction points, the research provides a granular diagnostic of systemic exclusion.

The funnel isolates sequential stages:

Awareness → Perceived Eligibility → Intention to Apply → Application Initiation → Application Completion → Approval → Disbursement.

The Six-Dimensional Barrier Taxonomy

This framework categorizes enterprise constraints into six distinct structural pillars:

1. Structural & Legal

Property rights, asset ownership laws, and corporate registration.

2. Procedural & Institutional

Collateral rules, documentation burdens, and credit scoring models.

3. Behavioral & Social

Risk perceptions, implicit bias, and the "discouraged borrower" effect.

4. Information & Literacy

Product awareness gaps and institutional financial literacy.

5. Macroeconomic & Sectoral

Interest rate environments and sector-specific risk weighting.

6. Policy & Programme

DFI intervention reach and institutional data utilization.

Qualitative Instrument Structure

The survey instrument comprised seven thematic sections (A through G), covering: business profile and sector (Section A); financial literacy and awareness of products (Section B); financing behaviour and application history (Section C); financing process experience and ratings (Section D); application outcomes and unmet needs (Section E); government programme awareness and uptake (Section F); and policy priorities and demographic profile (Section G).

Analytical Feature: Module D deployed a specialized nine-item Likert-scale battery. This required respondents to rate their specific institutional interactions (transparency, speed, communication) on a 1–5 scale, providing a nuanced assessment of procedural friction that binary outcome metrics (approved/rejected) cannot capture.

Sampling Strategy and Data Collection

The survey captured a representative sample of 228 women-led SMEs across Nigeria's three major commercial and administrative hubs (Lagos, Abuja, and Port Harcourt). The sample was engineered to meet strict, representative distributional targets:

Geography

A minimum of 40% from Lagos, mirroring national MSME concentration data.

Maturity

Balanced representation across early-stage (under 2 years), mid-stage (3–5 years), and legacy businesses (6+ years).

Sector

No single industry was permitted to exceed 25% of the total aggregate sample.

Data Harmonisation

To maximize response rates and capture distinct segments of the SME ecosystem, data was gathered via a multi-channel deployment strategy utilizing WIMBIZ's diverse network strata. Because this strategy utilized structurally adaptive instruments to suit different deployment channels, a rigorous data harmonisation process was required. Variables, question sequencing, and specific formatting (such as the informal barriers parameters) were mapped, cleaned, and standardized post-collection to ensure strict structural integrity and comparability before executing the final funnel analysis.

Qualitative Instruments

Focus Group Discussions

Two FGDs were conducted, convening ten women-led SME owners. Recruited via purposive and snowball sampling, these sessions captured the informal norms, psychological friction, and exact institutional encounters driving the discouraged borrower effect. Transcripts were analyzed using thematic coding mapped directly against the barrier taxonomy.

Key Informant Interviews (KIs)

Eight KIs were conducted with senior executives across commercial banks (SME banking and credit risk heads), Development Finance Institutions (DFIs), and regulatory bodies. These 45-to-75-minute interviews interrogated institutional risk logic, product efficacy, collateral appetite, and macro policy. Insights regarding institutional incentives were subsequently used to triangulate the demand-side findings, providing a holistic map of ecosystem bottlenecks.

Stakeholder Validation Workshop

A multi-stakeholder validation session was convened to pressure-test the preliminary findings of the Unlocking Access to Finance for Women-Led SMEs report. The forum included representatives from commercial banks, Development Finance Institutions (DFIs), regulatory bodies, microfinance institutions (MFBs), and women entrepreneurs from the WIMBIZ network. The objective was to validate the quantitative and qualitative data and solicit operational insights to refine the final policy recommendations.

Official Log of Validator Interventions & Feedback

The following is the official, comprehensive log of operational feedback, friction points, and interventions raised by the validators during the session.

DFI Intermediation

Physical and procedural structures of Tier-1 commercial banks are inherently imposing for the "Missing Middle." It was strongly recommended that DFIs shift their distribution models further downstream, utilizing microfinance banks, thrift societies, and affinity groups as primary capital aggregators.

Supply-Chain Financing

A specific intervention suggested bypassing cash disbursement entirely through direct supply-chain financing, where institutions pay suppliers directly to release goods/inventory to women entrepreneurs.

Digital & POS Ledgering

Participants highlighted the success of digital lending channels, specifically POS-based credit lines. Validators emphasized that utilizing digital POS ledgers to automatically generate transaction histories is the most viable substitute for traditional bookkeeping and audited financials.

On Regulatory Friction and Prudential Guidelines

Guarantee Frameworks vs. Banking Rules

A critical macroeconomic bottleneck was raised regarding the clash between intervention tools and regulatory compliance. While the government has established credit guarantee infrastructures (such as the Credit Guarantee Corp), the Central Bank's prudential guidelines still penalize banks for unsecured lending. Consequently, banks remain trapped within traditional credit risk frameworks, rendering the guarantees ineffective.

On Product Design, Structuring, and Sector

Co-Creation for Sector Realities

Validators stressed that generic loan products fail because they do not account for the User Experience (UX) of specific sectors. Ecosystem enablers, regulators, and users must co-create tailored products.

The Agricultural Timing

Applying standard approval timelines to seasonal businesses causes massive disruption. If an agrifood loan is approved after the planting season, the capital loses its productive value, structurally guaranteeing a default.

Patient Capital & Bundling

Validators argued against short-term debt, pushing for 8-10 year capital tenors. They also suggested bundling loans: when financing physical assets, a set percentage should automatically be disbursed as working capital to cover day-to-day operations (payroll, inventory) to prevent immediate defaults.

Tech and Intangible Assets

Current BOI tech loans do not account for tech services (e.g., Zoom subscriptions, website creation). There is a critical need to finance digital infrastructure for professional service providers, digital creatives, and educators.

On Institutional Information Asymmetry

The HQ vs. Branch Disconnect

A significant operational failure exists regarding internal bank communication. Many branch officers are unaware of gender-focused products designed by their own head offices (e.g., a bank in Dutse may not know of the gender product offered by the same bank in Maitama).

Case Example: One validator noted a commercial bank had launched a heavily funded women's credit product, but due to a lack of branch-level sensitization, it received only 15 applications nationally.

On Behavioral De-Risking, Time Poverty, and Cultural Bias

Beyond Financial Literacy

While the ecosystem focuses on "business readiness," validators argued that deep-rooted cultural fear remains a primary barrier. Targeted behavioral marketing is urgently needed to demystify formal credit.

Cultural Harassment & Unconscious Bias

Loan officers regularly exhibit unconscious gender bias, such as requesting a husband's presence or consent for a loan, or demanding property titles that are culturally held in a man's name.

Simplified Applications & Time Poverty

Because women disproportionately juggle domestic duties alongside their businesses, they lack the time required to navigate lengthy, opaque bank appointments.

Simplified Applications & Time Poverty

Validators called for a simplified, centralized directory mapping all available MSME funds, eligibility rules, and direct contacts to eliminate procedural opacity.

The session also identified methodological blind spots and priorities for future research phases.

Key Considerations & Recommendations for Future Research

The validation session identified critical blind spots in the initial research scope. While large-scale quantitative expansions are out of scope for the current data baseline, these gaps will be mitigated through targeted qualitative engagements and formally logged as next-phase priorities.

1. Mitigating Geographic and Statistical Constraints

As is standard in informal and semi-formal SME research, data regarding annual revenue, loan application values, and historical rejection rates rely on self-reporting by the business owners. While qualitative triangulation was used to validate broader trends, self-reported financial metrics are inherently subject to recall bias and potential under-reporting.

The Mitigation: A nationwide quantitative expansion is out of scope for the current project cycle. However, to ensure national representation, WIMBIZ will consider coordinating supplementary, targeted qualitative engagements (FGDs and network consultations) with entrepreneurs in these extended regions to validate whether the structural barriers identified in the primary hubs hold true

2. Broadening the Ecosystem Scope (Alternative Capital)

The current analysis relies heavily on commercial banks and federal DFIs, missing the nuanced realities of alternative capital.

The Mitigation: While a full survey of alternative capital providers is out of scope, WIMBIZ-coordinated stakeholder discussions will actively integrate perspectives from impact investors, private equity (e.g., Alitheia Capital), angel syndicates (e.g., Rising Tide Africa), and specialized export financiers (e.g., NEXIM Bank) in the next report cycle, acknowledging the full spectrum of available capital.

3. Capturing Repayment Metrics to De-Risk Borrowing

To counter the narrative of the "high-risk female borrower," validators emphasized the need to highlight actual repayment ratios. Proving high repayment success rates is critical to behaviorally de-risk borrowing for female entrepreneurs while simultaneously proving commercial creditworthiness to the supply side.

The Mitigation: Tracking the specific repayment ratios of WIMBIZ survey respondents is unnecessary and methodologically narrow in scope. Because authoritative repayment data already exists publicly via verified financial institutions, the research and subsequent advocacy will instead aggregate and weaponize this existing institutional portfolio data. Highlighting the universally low Non-Performing Loan (NPL) ratios already recorded by Central Bank data, DFIs, and commercial banks provides a much stronger, macroeconomic baseline to prove female creditworthiness than a localized network survey.

4. Investigating the Supply-Side Utilization Gap

While a dedicated, large-scale supply-side survey is out of scope, the research team will leverage WIMBIZ's institutional network to conduct targeted Key Informant follow-ups. These engagements will extract on-the-record explanations from commercial banks regarding why they refuse to fully utilize the CBN's National Collateral Registry and existing credit guarantee frameworks.

Additional Considerations and Caveats

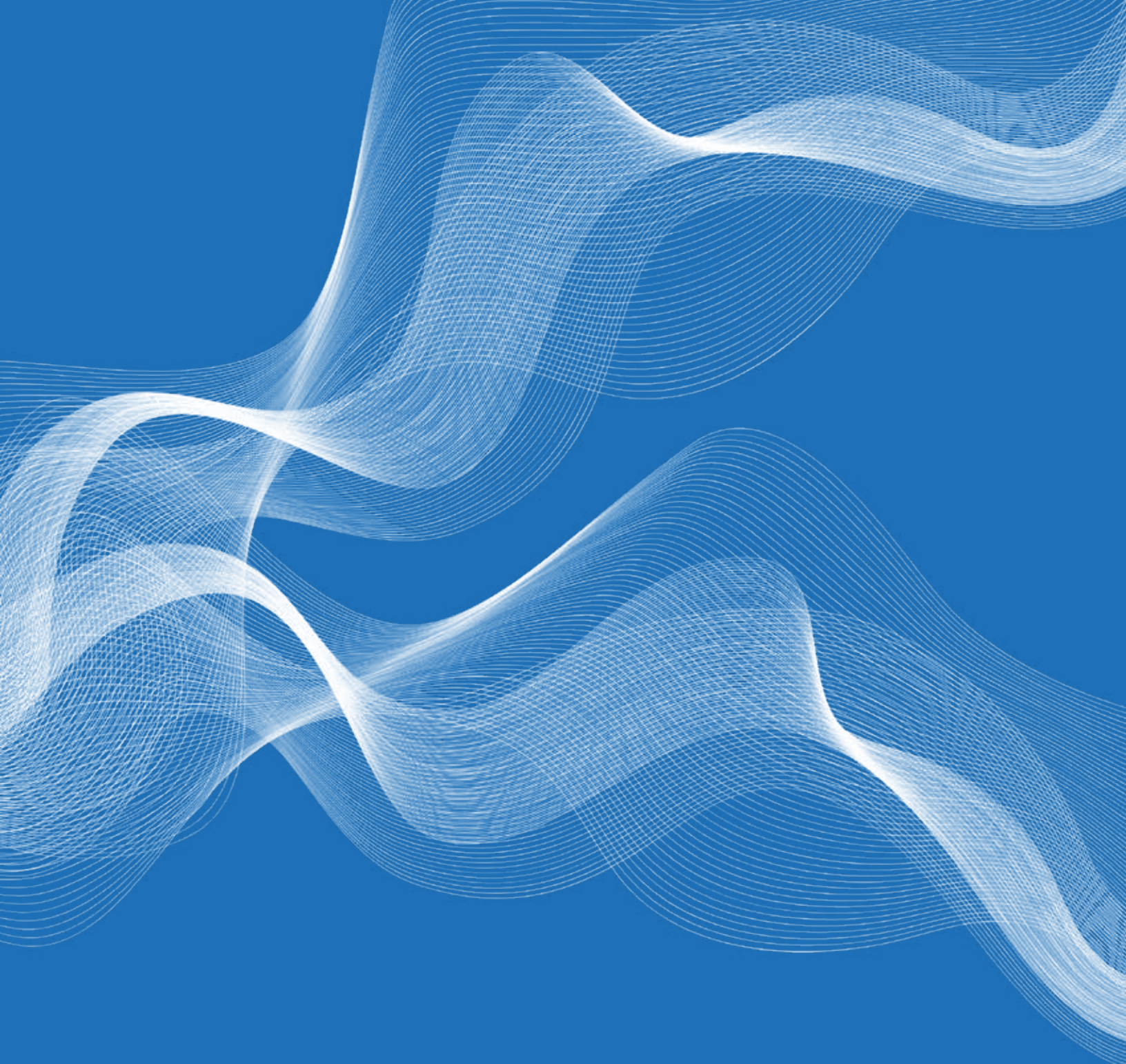
While the mixed-methods design provides a robust diagnostic of the financing ecosystem, the findings should be interpreted within the context of the following structural parameters:

1. Self-Reported Financial Data

As is standard in informal and semi-formal SME research, data regarding annual revenue, loan application values, and historical rejection rates rely on self-reporting by the business owners. While qualitative triangulation was used to validate broader trends, self-reported financial metrics are inherently subject to recall bias and potential under-reporting.

2. Sample Size in Sub-Segment Cross-Tabulations

The aggregate quantitative sample ($n=228$) provides a statistically significant baseline for national and macro-level behavioural trends. However, when isolating specific geographic and sectoral intersections the base sizes become smaller. Findings in these hyper-specific sub-segments should be treated as directional indicators rather than definitive market sizing.



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Ownership and Production

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